SEDEMAC™

MECHATRONICS LIMITED

(FORMERLY KNOWN AS SEDEMAC MECHATRONICS PRIVATE LIMITED)

# FINANCIAL STATEMENTS 2023 - 24

B S R & Co. LLP
Chartered Accountants

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# Independent Auditor's Report

## To the Members of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited)

## Report on the Audit of the Financial Statements

### Opinion

We have audited the financial statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) (the "Company") which comprise the balance sheet as at 31 March 2024, and the statement of profit and loss and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 ("Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2024 and its profit and its cash flows for the year ended on that date.

### Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those SAs are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the financial statements.

### Management's and Board of Directors' Responsibilities for the Financial Statements

The Company's Management and Board of Directors are responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these financial statements that give a true and fair view of the state of affairs, profit/ loss and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Management and Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is also responsible for overseeing the Company's financial reporting process.

## Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management and Board of Directors.
- Conclude on the appropriateness of the Management and Board of Directors use of the going concern basis of accounting in preparation of financial statements and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

## Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of Section 143(11) of the Act, we give in the "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

2 A. As required by Section 143(3) of the Act, we report that:

   a. We have sought and obtained all the information and explanations which to the best of our



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knowledge and belief were necessary for the purposes of our audit.

b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books except for the matters stated in the paragraph 2(B)(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.

c. The balance sheet, the statement of profit and loss and the statement of cash flows dealt with by this Report are in agreement with the books of account.

d. In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act.

e. On the basis of the written representations received from the directors as on 31 March 2024 taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2024 from being appointed as a director in terms of Section 164(2) of the Act.

f. the modification relating to the maintenance of accounts and other matters connected therewith are as stated in the paragraph 2A(b) above on reporting under Section 143(3)(b) and paragraph 2B(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.

g. With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B".

B. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

a. The Company does not have any pending litigations which would impact its financial position.

b. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

c. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

d (i) The management has represented that, to the best of their knowledge and belief, as disclosed in the Note 48(e) to the financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(ii) The management has represented that, to the best of their knowledge and belief, as disclosed in the Note 48(f) to the financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Parties ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(iii) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (i) and (ii) above, contain any material misstatement.

e. The Company has neither declared nor paid any dividend during the year.



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f Based on our examination which included test checks, the Company has used an accounting software for maintaining its books of account which does not have the feature of recording audit trail (edit log) facility. Consequently, we are unable to comment on audit trail feature of the said software.

C With respect to the matter to be included in the Auditor's Report under Section 197(16) of the Act:

In our opinion and according to the information and explanations given to us, the Company is not a public company. Accordingly, the provisions of Section 197 of the Act are not applicable to the Company. The Ministry of Corporate Affairs has not prescribed other details under Section 197(16) of the Act which are required to be commented upon by us.

For **B S R & Co. LLP**

*Chartered Accountants*

Firm's Registration No.: 101248W/W-100022

**Sanjiv Khilnani**

*Partner*

Membership No.: 122613

ICAI UDIN 24122613BKOBBP6411

Place: Pune

Date: 04 September 2024

## Annexure A to the Independent Auditor's Report on the Financial Statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) for the year ended 31 March 2024

**(Referred to in paragraph 1 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)**

(i) (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment.

(B) The Company has maintained proper records showing full particulars of intangible assets.

(i) (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has a regular programme of physical verification of its Property, Plant and Equipment by which all property, plant and equipment are verified in a phased manner every year. In accordance with this programme, all property, plant and equipment were verified during the year. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets. No discrepancies were noticed on such verification.

(c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the title deeds of immovable properties (other than immovable properties where the Company is the lessee and the leases agreements are duly executed in favour of the lessee) disclosed in the financial statements are held in the name of the Company.

(d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not revalued its Property, Plant and Equipment or intangible assets or both during the year.

(e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there are no proceedings initiated or pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.

(ii) (a) The inventory, except goods-in-transit and stocks lying with third parties, has been physically verified by the management during the year.For stocks lying with third parties at the year-end, written confirmations have been obtained and for goods-in-transit subsequent evidence of receipts has been linked with inventory records. In our opinion, the frequency of such verification is reasonable and procedures and coverage as followed by management were appropriate. No discrepancies were noticed on verification between the physical stocks and the book records that were more than 10% in the aggregate of each class of inventory

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets. In our opinion, the quarterly returns or statements filed by the Company with such banks or financial institutions are in agreement with the books of account of the Company.

(iii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any investments, provided guarantee or security or granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, limited liability partnerships or any other parties during the year. Accordingly, provisions of clauses 3(iii)(a) to 3(iii)(f) of the Order are not applicable to the Company.

(iv) According to the information and explanations given to us and on the basis of our examination of records of the Company, the Company has neither made any investments nor has it given loans or provided guarantee or security and therefore the relevant provisions of Sections 185 and 186 of the Companies Act, 2013 ("the Act") are not applicable to the Company. Accordingly, clause 3(iv) of the Order is not applicable.

(v) The Company has not accepted any deposits or amounts which are deemed to be deposits from



B S R & Co. LLP Chartered Accountants

## Annexure A to the Independent Auditor's Report on the Financial Statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) for the year ended 31 March 2024 *(Continued)*

the public. Accordingly, clause 3(v) of the Order is not applicable.

(vi) We have broadly reviewed the books of accounts maintained by the Company pursuant to the rules prescribed by the Central Government for maintenance of cost records under Section 148(1) of the Act in respect of its manufactured goods and services provided by it and are of the opinion that prima facie, the prescribed accounts and records have been made and maintained. However, we have not carried out a detailed examination of the records with a view to determine whether these are accurate or complete.

(vii) (a) The Company does not have liability in respect of Service tax, Duty of excise, Sales tax and Value added tax during the year since effective 1 July 2017, these statutory dues has been subsumed into GST.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, in our opinion amounts deducted / accrued in the books of account in respect of undisputed statutory dues including Goods and Service Tax, Provident Fund, Income-Tax, Duty of Customs or Cess or other statutory dues have been generally regularly deposited by the Company with the appropriate authorities.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, no undisputed amounts payable in respect of Goods and Service Tax, Provident Fund, Income-Tax, Duty of Customs or Cess or other statutory dues were in arrears as at 31 March 2024 for a period of more than six months from the date they became payable.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there are no statutory dues relating to Goods and Service Tax, Provident Fund, Income-Tax, Duty of Customs or Cess or other statutory dues, which have not been deposited with the appropriate authorities on account of any dispute.

(viii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not surrendered or disclosed any transactions, previously unrecorded as income in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year.

(ix) (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not defaulted in repayment of loans and borrowing or in the payment of interest thereon to any lender.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not been declared a wilful defaulter by any bank or financial institution or government or government authority.

(c) In our opinion and according to the information and explanations given to us by the management, term loans were applied for the purpose for which the loans were obtained.

(d) According to the information and explanations given to us and on an overall examination of the balance sheet of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.

(e) The Company does not hold any investment in any subsidiaries, associates or joint ventures (as defined under the Act) during the year ended 31 March 2024. Accordingly, clause 3(ix)(e) is not applicable.

(f) The Company does not hold any investment in any subsidiaries, associates or joint ventures (as defined under the Act) during the year ended 31 March 2024. Accordingly, clause 3(ix)(f) is not applicable.

(x) (a) The Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments). Accordingly, clause 3(x)(a) of the Order is not applicable.

## Annexure A to the Independent Auditor's Report on the Financial Statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) for the year ended 31 March 2024 *(Continued)*

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year. Accordingly, clause 3(x)(b) of the Order is not applicable.

(xi) (a) Based on examination of the books and records of the Company and according to the information and explanations given to us, no fraud by the Company or on the Company has been noticed or reported during the course of the audit.

(b) According to the information and explanations given to us, no report under sub-section (12) of Section 143 of the Act has been filed by the auditors in Form ADT-4 as prescribed under Rule 13 of the Companies (Audit and Auditors) Rules, 2014 with the Central Government.

(c) As represented to us by the management, there are no whistle blower complaints received by the Company during the year.

(xii) According to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, clause 3(xii) of the Order is not applicable.

(xiii) The Company is a private limited company and accordingly the requirements as stipulated by the provisions of Section 177 of the Act are not applicable to the Company. In our opinion and according to the information and explanations given to us and on the basis of our examination of records of the Company, transactions with the related parties are in compliance with Section 188 of the Act where applicable and details of such transactions have been disclosed in the financial statements as required by the applicable accounting standards.

(xiv) (a) Based on information and explanations provided to us and our audit procedures, in our opinion, the Company has an internal audit system commensurate with the size and nature of its business.

(b) We have considered the internal audit reports of the Company issued till date for the period under audit.

(xv) In our opinion and according to the information and explanations given to us, the Company has not entered into any non-cash transactions with its directors or persons connected to its directors and hence, provisions of Section 192 of the Act are not applicable to the Company.

(xvi) (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(a) of the Order is not applicable.

(b) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(b) of the Order is not applicable.

(c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, clause 3(xvi)(c) of the Order is not applicable.

(d) The Company is not part of any group (as per the provisions of the Core Investment Companies (Reserve Bank) Directions, 2016 as amended). Accordingly, the requirements of clause 3(xvi)(d) are not applicable.

(xvii) The Company has not incurred cash losses in the current and in the immediately preceding financial year.

(xviii) There has been no resignation of the statutory auditors during the year. Accordingly, clause 3(xviii) of the Order is not applicable.

(xix) According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that the

## Annexure A to the Independent Auditor's Report on the Financial Statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) for the year ended 31 March 2024 *(Continued)*

Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

(xx) In our opinion and according to the information and explanations given to us, there is no unspent amount under sub-section (5) of Section 135 of the Act pursuant to any project. Accordingly, clauses 3(xx)(a) and 3(xx)(b) of the Order are not applicable.

For **B S R & Co. LLP**

*Chartered Accountants*

Firm's Registration No.:101248W/W-100022

**Sanjiv Khilnani**

*Partner*

Place: Pune

Membership No.: 122613

Date: 04 September 2024

ICAI UDIN 24122613BKDBBP5411

## Annexure B to the Independent Auditor's Report on the financial statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) for the year ended 31 March 2024

### Report on the internal financial controls with reference to the aforesaid financial statements under Clause (I) of Sub-section 3 of Section 143 of the Act

### (Referred to in paragraph 2(A)(f) under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

### Opinion

We have audited the internal financial controls with reference to financial statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) ("the Company") as of 31 March 2024 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

In our opinion, the Company has, in all material respects, adequate internal financial controls with reference to financial statements and such internal financial controls were operating effectively as at 31 March 2024, based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the "Guidance Note").

### Management's and Board of Directors' Responsibilities for Internal Financial Controls

The Company's Management and the Board of Directors are responsible for establishing and maintaining internal financial controls based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

### Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing, prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements were established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to financial statements.

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Chartered Accountants

## Annexure B to the Independent Auditor's Report on the financial statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) for the year ended 31 March 2024 *(Continued)*

### Meaning of Internal Financial Controls with Reference to Financial Statements

A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements include those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use or disposition of the company's assets that could have a material effect on the financial statements.

### Inherent Limitations of Internal Financial Controls with Reference to Financial Statements

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

For B S R & Co. LLP

*Chartered Accountants*

Firm's Registration No.: 101248W/W-100022

**Sanjiv Khilnani**

*Partner*

Place: Pune

Membership No.: 122613

Date: 04 September 2024

ICAI UDIN: 24122613BKDBBP5411

SEDEMAC MECHATRONICS LIMITED

(Formerly known as SEDEMAC Mechatronics Private Limited)

# Balance Sheet as at 31 March 2024

(Amounts in INR Mn, unless otherwise stated)

| | Note | 31 March 2024 | 31 March 2023 |
|---|---|---|---|
| **EQUITY AND LIABILITIES** | | | |
| **Shareholders' funds** | | | |
| Share capital | 3 | 0.96 | 0.96 |
| Reserves and surplus | 4 | 1,613.80 | 1,283.22 |
| | | 1,614.76 | 1,284.18 |
| **Non-current liabilities** | | | |
| Long term borrowings | 5 | 425.98 | 351.16 |
| Other long term liabilities | 6 | 17.83 | 13.90 |
| Long term provisions | 7 | 44.42 | 36.29 |
| | | 488.23 | 401.35 |
| **Current liabilities** | | | |
| Short term borrowings | 8 | 530.36 | 450.33 |
| Trade payables | 9 | | |
| (A) Total outstanding dues of micro enterprises and small enterprises | | 28.80 | 20.68 |
| (B) Total outstanding dues of creditors other than micro enterprise and small enterprise | | 738.53 | 644.20 |
| Other current liabilities | 10 | 230.23 | 104.85 |
| Short term provisions | 11 | 10.74 | 9.82 |
| | | 1,538.66 | 1,229.88 |
| **TOTAL** | | 3,641.65 | 2,915.41 |
| **ASSETS** | | | |
| **Non-current assets** | | | |
| Property, Plant and Equipment and Intangible Assets | | | |
| (i) Property, plant and equipment | 12A | 525.98 | 614.37 |
| (ii) Intangible fixed assets | 13A | 507.30 | 521.29 |
| (iii) Capital work-in-progress | 12B | 31.71 | 25.27 |
| (iv) Intangible assets under development | 13B | 586.63 | 413.04 |
| Long term loans and advances | 15 | 32.99 | 71.80 |
| Other non-current assets | 16 | 52.21 | 53.78 |
| | | 2,036.82 | 1,699.55 |
| **Current assets** | | | |
| Inventories | 17 | 1,176.49 | 901.93 |
| Trade receivables | 18 | 272.91 | 153.79 |
| Cash and bank balances | 19 | 73.14 | 84.04 |
| Short term loans and advances | 20 | 73.80 | 55.86 |
| Other current assets | 21 | 8.49 | 20.24 |
| | | 1,604.83 | 1,215.86 |
| **TOTAL** | | 3,641.65 | 2,915.41 |
| Summary of significant accounting policies | 2 | | |
| Notes to the financial statements | 3-48 | | |

The notes referred to above form an integral part of the financial statements

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm Registration No. 101248W/W-100022

**Sanjiv Khilnani**
Partner
Membership No : 122613
ICAI UDIN 24122613BKDBBP6411
Place: Pune
Date: 04 September 2024

For and on behalf of the Board of Directors of
**SEDEMAC MECHATRONICS LIMITED**
(Formerly know as SEDEMAC Mechatronics Private Limited)
(CIN U29253MH2007PLC172479)

**Shashikanth Suryanarayanan**
Director
DIN : 01269904
Place: Lisbon
Date 04 September 2024

**Amit Dixit**
Director
DIN: 01288169
Place: Pune
Date: 04 September 2024

SEDEMAC MECHATRONICS LIMITED

(Formerly known as SEDEMAC Mechatronics Private Limited)

# Statement of Profit and Loss for the year ended 31 March 2024

(Amounts in INR Mn. unless otherwise stated)

| | Note | 31 March 2024 | 31 March 2023 |
|---|---|---|---|
| **Revenue from operations** | 22 | | |
| Sale of products | | 5,230.26 | 4,145.90 |
| Sale of services | | 83.91 | 75.69 |
| Other operating revenue | | 12.37 | 8.69 |
| **Total** | | 5,306.53 | 4,230.28 |
| Other income | 23 | 43.53 | 60.43 |
| **Total income** | | 5,350.06 | 4,290.71 |
| **Expenses** | | | |
| Cost of materials consumed | 24 | 3,667.74 | 3,039.60 |
| Changes in inventories of finished goods and work-in-progress | 25 | (37.59) | (8.31) |
| Employee benefits expense | 26 | 431.98 | 327.57 |
| Finance costs | 27 | 115.91 | 90.08 |
| Depreciation and amortization expense | 28 | 318.70 | 282.56 |
| Other expenses | 29 | 514.48 | 441.42 |
| **Total expenses** | | 5,009.19 | 4,154.92 |
| **Profit before tax** | | 340.87 | 135.79 |
| **Tax expense** | | | |
| Current tax | | 62.50 | 25.00 |
| Deferred tax | | - | - |
| **Profit for the year** | | 278.37 | 110.79 |
| Earnings per equity share (nominal value of share ₹ 10 (Previous year : ₹ 10)) | | | |
| Earning per Share (₹) | 30 | | |
| -Basic | | 24,812 | 10,056 |
| -Diluted | | 9,863 | 3,955 |
| **Summary of significant accounting policies** | 2 | | |
| **Notes to the financial statements** | 3-48 | | |

The notes referred to above form an integral part of the financial statements
As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm Registration No. 101248W/W-100022

**Sanjiv Khilnani**
Partner
Membership No : 122613
ICAI UDIN : 24122613BKDBBP6411
Place Pune
Date: 04 September 2024

For and on behalf of the Board of Directors of
**SEDEMAC MECHATRONICS LIMITED**
(Formerly know as SEDEMAC Mechatronics Private Limited)
(C N U29253MH2007PLC172479)

**Shashikanth Suryanarayanan**
Director
DIN 01269904
Place: Lisbon
Date: 04 September 2024

**Amit Dixit**
Director
DIN: 01288169
Place: Pune
Date: 04 September 2024

# Cash Flow Statement for the year ended 31 March 2024

(Amounts in INR Mn, unless otherwise stated)

| | | 31 March 2024 | 31 March 2023 |
|---|---|---|---|
| A | **Cash flow from operating activities** | | |
| | **Net Profit before tax** | **340.87** | 135.79 |
| | **Adjustments:** | | |
| | Depreciation and amortization | 316.70 | 262.56 |
| | Impairment of asset | 10.75 | 0.18 |
| | Loss on sale of fixed assets | 3.28 | 0.15 |
| | Interest income | (2.92) | (4.26) |
| | Provision for employee stock options scheme | 16.16 | 25.08 |
| | Unrealised exchange loss (net) | 1.97 | - |
| | Finance costs | 115.91 | 90.08 |
| | **Operating profit before working capital changes** | **802.72** | 510.18 |
| | Movement in working capital: | | |
| | (Increase) / Decrease in trade receivables | (119.09) | 7.21 |
| | (Increase) / Decrease in inventory | (274.56) | 8.77 |
| | Decrease / (Increase) in other current assets | 11.75 | (4.24) |
| | Decrease / (Increase) in other non-current assets | 2.33 | (10.93) |
| | (Increase) in short-term loans and advances | (18.59) | (21.57) |
| | Increase in trade payables | 100.39 | 220.81 |
| | Increase in other current liabilities | 135.84 | 26.60 |
| | Increase in long-term provisions | 6.13 | 4.29 |
| | Increase in short-term provisions | 0.92 | 3.02 |
| | Increase / (Decrease) in other long term liabilities | 3.93 | (2.70) |
| | **Cash generated from operations** | **653.83** | 741.44 |
| | Direct taxes paid (net of refund) | 59.92 | 10.49 |
| | **Net cash flow generated from operating activities** | **593.91** | 730.95 |
| B | **Cash flow (used in) / generated from investing activities** | | |
| | Purchase of property, plant and equipment | (383.09) | (291.56) |
| | Sale proceeds from Sale of property, plant and equipment | 2.36 | 1.09 |
| | Additions to the intangible fixed assets | (303.31) | (264.49) |
| | Interest received | 3.57 | 9.87 |
| | Fixed Deposits (made under lien) | | (19.81) |
| | Deposits Matured during the year | 13.10 | 58.97 |
| | Government grant received | 24.81 | - |
| | **Net cash (used) in investing activities** | **(642.56)** | (525.04) |

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Chartered Accountants
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SEDEMAC MECHATRONICS LIMITED

SEDEMAC MECHATRONICS LIMITED

(Formerly known as SEDEMAC Mechatronics Private Limited)

# Cash Flow Statement for the year ended 31 March 2024(Contd.)

(Amounts in INR Mn, unless otherwise stated)

| | | | |
|---|---|---|---|
| C | **Cash flow (used in) / generated from financing activities** | | |
| | Proceeds from issue of equity shares | 11.24 | 4.05 |
| | Term loans received during the year | 323.47 | 184.43 |
| | Term loans repaid during the year | (249.22) | (138.21) |
| | Short-term borrowings received/(repaid) during the year | 79.60 | (141.83) |
| | Interest (finance cost) paid | (114.48) | (90.00) |
| | **Net cash generated from / (used in) financing activities** | **51.61** | (181.56) |
| | **Net increase in cash and cash equivalents (A+B+C)** | **2.96** | 23.45 |
| | **Cash and cash equivalents at the beginning of the year** | **32.15** | 8.70 |
| | **Cash and cash equivalents at the end of the year (Refer note no. 19)** | **35.11** | 32.15 |

| | **Notes to cash flow statement** | | | |
|---|---|---|---|---|
| 1 | Components of cash and cash equivalents | **31 March 2024** | 31 March 2023 | 31 March 2022 |
| | Cash in hand | **0.02** | - | - |
| | Balances with banks | | | |
| | - On current accounts | **35.09** | 32.15 | 8.70 |
| | | **35.11** | 32.15 | 8.70 |

2 The cash flow has been prepared under the 'Indirect method' as set out in Accounting Standard (AS) 3 - "Cash Flow Statement".

The notes referred to above form an integral part of the financial statements
As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm Registration No. 101248W/W-100022

**Sanjiv Khilnani**
Partner
Membership No : 122613
ICAI UDIN 24122613BKDBBP6411
Place: Pune
Date: 04 September 2024

For and on behalf of the Board of Directors of
**SEDEMAC MECHATRONICS LIMITED**
(Formerly know as SEDEMAC Mechatronics Private Limited)
(CIN U29253MH2007PLC172479)

**Shashikanth Suryanarayanan**
Director
DIN 01269904
Place: Lisbon
Date 04 September 2024

**Amit Dixit**
Director
DIN: 01288169
Place. Pune
Date 04 September 2024

# Notes to financial statements for the year ended 31 March 2024

## 1 Company Overview

The Company is primarily engaged in the business of development, manufacture and supply of innovative controllers/ECUs. SEDEMAC is a global supplier of high-volume critical controllers/ECUs having novel motor engine, supervisory and other control technologies, developed in-house. The Company is operating in the various business segments, namely power generators, automotive, powered equipment, electric vehicles and electric bikes etc. The Company is having well equipped R&D Centre and the world class manufacturing plants. The Company is the key supplier to various established automotive & off highway industry players locally & globally.

SEDEMAC Mechatronics was incorporated under the Companies Act, 1956 as a private company. Subsequent to the balance sheet date, the company has received approval for conversion of private company into a public company. As per the certificate of incorporation issued by Ministry of Company Affairs on 2nd September 2024, the company's name is changed to 'SEDEMAC Mechatronics Limited'.

## 2 Significant accounting policies

The accounting policies set out below have been applied consistently to the periods presented in these financial statements.

### 2.1 Basis of preparation of financial statements

These financial statements have been prepared in accordance with the generally accepted accounting principles in India under historical cost convention on accrual basis. The Company has prepared these financial statements to comply in all material respects with the applicable accounting standards specified under section 133 of the Companies Act, 2013. The financial statements are presented in Indian rupees in Millions unless otherwise stated.

### 2.2 Use of estimates

The preparation of financial statements in conformity with Generally Accepted Accounting Principles (GAAP) requires management to make judgments, estimates and assumptions that affect the application of accounting policies and reported amounts of assets, liabilities, income and expenses and the disclosure of contingent liabilities on the date of the financial statements. Actual results could differ from those estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Any revision to accounting estimates is recognised prospectively in current and future periods.

### 2.3 Current–non-current classification

All assets and liabilities are classified into current and non current.

**Assets**

An asset is classified as current when it satisfies any of the following criteria:

a. it is expected to be realised in, or is intended for sale or consumption in, the Company's normal operating cycle,

b. it is held primarily for the purpose of being traded

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SEDEMAC MECHATRONICS LIMITED

c. it is expected to be realised within 12 months after the reporting date, or

d. it is cash or cash equivalent unless it is restricted from being exchanged or used to settle a liability for at least 12 months after the reporting date

e. current assets include the current portion of non-current financial assets. All other assets are classified as non current.

**Liabilities**

A liability is classified as current when it satisfies any of the following criteria:

a. it is expected to be settled in the Company's normal operating cycle

b. it is held primarily for the purpose of being traded;

c. it is due to be settled within 12 months after the reporting date, or

d. the Company does not have an unconditional right to defer settlement of the liability for at least 12 months after the reporting date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification

e. current liabilities include current portion of non-current financial liabilities. All other liabilities are classified as non-current

**Operating cycle**

Operating cycle is the time between the acquisition of assets for processing and their realisation in cash or cash equivalents. The Company's normal operating cycle is considered as 12 months for the purpose of current and non-current classification of assets and liabilities

## 2.4 Fixed assets and Depreciation/ Amortization

**Property, plant and equipment**

Property, plant and equipment are carried at cost of acquisition or construction less accumulated depreciation and/or accumulated impairment loss, if any. The cost of an item of property, plant and equipment comprises its purchase price, including import duties and other non-refundable taxes or levies and any directly attributable cost of bringing the asset to its working condition for its intended use; any trade discounts and rebates are deducted in arriving at the purchase price

Subsequent expenditures related to an item of property, plant and equipment are added to its book value only if they increase the future benefits from the existing asset beyond its previously assessed standard of performance.

Exchange differences pertaining to long term foreign currency monetary items that are related to acquisition of depreciable assets are recognised as an expense in the Statement of Profit and Loss

Permanent improvements to leasehold property are depreciated over the lease term or useful life whichever is shorter

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

**Depreciation**

Depreciation is provided on written down value method based on useful life prescribed in Schedule II to the Companies Act, 2013 as given below.

| Assets | Useful lives |
|---|---|
| Computers | 3 years |
| Plant and equipment | 15 years |
| Furniture and fixtures | 10 years |
| Vehicles | 8 years |
| Office equipment | 5 years |

Property, plant and equipment is eliminated from the financial statements on disposal or when no further benefit is expected from its use and disposal. Losses arising from retirement or gains or losses arising from disposal of fixed assets which are carried at cost are recognised in the Statement of Profit and Loss.

**Intangible fixed assets**

(i) Acquired intangible assets representing computer software is recorded at its acquisition price and is amortized over its estimated useful life on a straight line basis commencing from the date the asset is available for its use. The management has estimated the useful life for such software as five years. The useful life of the asset is reviewed by the management at each Balance Sheet date. After initial recognition, an intangible asset is carried at its cost less any accumulated amortization and any accumulated impairment loss

(ii) Internally generated intangible assets :

- Expenditure on research activities, undertaken with the prospect of gaining new scientific or technical knowledge and understanding, is recognised in the Statement of Profit and Loss as incurred.
- Development activities involve a plan or design for the production of new or substantially improved products or processes. Development expenditure is capitalised only if developments costs can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable, and the Company intends to and has sufficient resources to complete development and to use the asset. The expenditure capitalised includes the cost of the materials, direct labour, overhead costs that are directly attributable to preparing the asset for its intended use. The management has estimated the useful life for such intangible assets as five years

(iii) Subsequent expenditure :

Subsequent expenditure is capitalised only when it increases the future economic benefits from the specific asset to which it relates. An intangible asset is derecognized on disposal or when no future economic benefits are expected from its use and disposal. Losses arising from retirement and gains or losses arising from disposal of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit and Loss.

### 2.5 Impairment of Assets

In accordance with Accounting Standard (AS 28) - Impairment of Assets, the carrying amounts of the Company's assets including intangible assets are reviewed at each Balance Sheet date to determine whether there is any indication of impairment. If any such indications exist, the assets recoverable amount is estimated as the higher of the net selling price and the value in use. An impairment loss is recognised whenever the carrying amount of an asset or its cash generating units exceeds its recoverable amount. If at the Balance Sheet date, there is an indication that a previously assessed impairment loss no longer exists, the recoverable amount is reassessed and the asset is assessed at the recoverable amount subject to a maximum of depreciable historical cost.

### 2.6 Operating lease

"Assets acquired under leases other than finance leases are classified as operating leases. The total lease rentals (including scheduled rental increases) in respect of an asset taken on operating lease are charged to the Statement of Profit and Loss on a straight line basis over the lease term."

### 2.7 Inventories

"Inventories which comprise raw materials, work-in-progress and finished goods are carried at the lower of cost and net realisable value. Cost of inventories comprises all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition.

In determining the cost, 'first in first out method' is used. In the case of manufactured inventories and work in progress, cost includes fixed production overheads. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and the estimated costs necessary to make the sale.

The net realisable value of work-in-progress is determined with reference to the selling prices of related finished products. Raw materials and other supplies held for use in the production of finished products are not written down below cost except in cases where material prices have declined and it is estimated that the cost of the finished products will exceed their net realisable value.

The comparison of cost and net realisable value is made on an item-by-item basis."

### 2.8 Employee Benefits

#### a) Short term employee benefits

Employee benefits payable wholly within twelve months of receiving employee services are classified as short-term employee benefits. These benefits include salaries and wages, bonus and ex-gratia. The undiscounted amount of short-term employee benefits to be paid in exchange for employee services is recognised as an expense as the related service is rendered by employees.

#### b) Post employment benefits (defined benefit plans)

The employees' gratuity scheme is a defined benefit plan. The present value of the obligation under such defined benefit plans is determined at each Balance Sheet date based on an actuarial valuation carried out by an independent actuary using the projected unit credit method. Actuarial gains and losses and past service costs are recognised immediately in the Profit and Loss Account.

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SEDEMAC MECHATRONICS LIMITED

## Notes to financial statements for the year ended 31 March 2024 (Contd.)

**c) Post employment benefits (defined contribution plans)**

A defined contribution plan is a post-employment benefit plan under which an entity pays specified contributions to a separate entity and has no obligation to pay any further amounts. The Company makes specified monthly contributions towards employee provident fund to Government administered provident fund scheme which is a defined contribution plan. The Company's contribution is recognised as an expense in the Statement of Profit and Loss during the period in which the employee renders the related service.

**d) Long term employee benefits**

Long term employee benefits comprise compensated absences. These are measured based on an actuarial valuation carried out by an independent actuary using the projected unit credit method at each Balance Sheet date. Actuarial gains and losses and past service costs are recognised immediately in the Statement of Profit and Loss.

### 2.9 Revenue Recognition

Revenue from sale of goods in the course of ordinary activities is recognised when property in the goods or all significant risks and rewards of their ownership are transferred to the customer and no significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods and regarding its collection.

Royalty Income is recognized on the basis of number of units manufactured by the ultimate customer to whom products have been offered on royalty per unit basis.

Service Income is recognised on the completion of such services.

Interest income is recognised on time proportion base taking into account the amount outstanding and the rate applicable.

### 2.10 Foreign Currency Transactions

Foreign currency transactions are recorded at the rate of exchange prevailing on the date of the respective transactions. Monetary foreign currency assets and liabilities remaining unsettled at the Balance Sheet date are translated at the rates of exchange prevailing on that date.

Gains / losses arising on account of realisation / settlement of foreign exchange transactions and on translation of foreign currency assets and liabilities are recognised in the Statement of Profit and Loss.

### 2.11 Provisions

A provision is recognised if, as a result of a past event, the Company has a present obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are recognised at the best estimate of the expenditure required to settle the present obligation at the balance sheet date. The provisions are measured on an undiscounted basis.

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### 2.12 Contingent liabilities and contingent assets

A contingent liability exists when there is a possible but not probable obligation, or a present obligation that may, but probably will not, require an outflow of resources, or a present obligation whose amount cannot be estimated reliably. Contingent liabilities do not warrant provisions, but are disclosed unless the possibility of outflow of resources is remote. Contingent assets are neither recognised nor disclosed in the financial statements. However, contingent assets are assessed continually and if it is virtually certain that an inflow of economic benefits will arise, the asset and related income are recognised in the period in which the change occurs.

### 2.13 Income taxes

Income tax expense comprises current tax (i.e. amount of tax for the period determined in accordance with the income-tax law) and deferred tax charge or credit (reflecting the tax effects of timing differences between accounting income and taxable income for the period).

The deferred tax charge or credit and the corresponding deferred tax liabilities or assets are recognised using the tax rates that have been enacted or substantively enacted by the Balance Sheet date.

Deferred tax assets are recognised only to the extent that there is reasonable certainty that the assets can be realised in future; however where there is unabsorbed depreciation or carried forward losses under taxation laws, deferred tax assets are recognised only if there is a virtual certainty of realisation of such assets. Deferred tax assets are reviewed at each Balance Sheet date and written down or written-up to reflect the amount that is reasonably / virtually certain (as the case may be ) to be realised.

Minimum Alternative Tax ('MAT') under the provisions of the Income-tax Act, 1961 is recognized as current tax in the Statement of Profit and Loss. The credit available under the Act in respect of MAT paid is recognized as an asset only when and to the extent there is convincing evidence that the company will pay normal income tax during the period for which the MAT credit can be carried forward for set-off against the normal tax liability.

### 2.14 Earnings per share (EPS)

The basic earnings per share is computed by dividing the Profit after tax attributable to the equity shareholders for the year by the weighted average number of equity shares outstanding during the reporting period.

### 2.15 Employee Stock Option schemes

The fair value of options as computed according to Black Scholes models, at the grant date is regarded as employee compensation, and recognised on a straight-line basis over the graded vesting period in which the employee would become unconditionally entitled to apply for shares.

### 2.16 Borrowing Cost

Borrowing Costs directly attributable towards product development that takes substantial period of time to complete are capitalised as a part of product development under intangible assets. All other borrowing costs are expensed in the period in which they occurred. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

### 2.17 Accounting for Government Grant

As per AS 12 - Grants from the government are recognised where there is a reasonable assurance that the grant will be received and the company will comply with all attached conditions.

During the current year, the company has established its right to receive the grant INR 13.78 Mn under the 'Industrial Promotion Subsidy 2016 (IPS 2016)' under Electronic Policy of the Government of Maharashtra. Since the grant is received on compliances of conditions attached with the policy, the grant is treated as other income as per paragraph 9.1 of AS 12.

During the current year, the company has also established its right to receive the grant under the 'Modified Incentive Package Scheme (M-SIPS)', for the capital investment of 24.81 Mn. Since the grant is w.r.t. the total investment, by way of contribution towards its total capital outlay and no repayment is expected, the grants are treated as capital reserve as per paragraph 10.1 of AS 12.

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

## 3 Share Capital (Also read note no 46)

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| **Authorised** | | |
| **Equity Shares** | | |
| 11,900 (Previous year: 11,900) equity shares of ₹ 10 each | 0.12 | 0.12 |
| **Total** | 0.12 | 0.12 |
| **Preference Shares** | | |
| 5,200 (Previous year: 5,200) 0.001% Series A Compulsorily Convertible Preference Shares (CCPS) of ₹ 10 each | 0.05 | 0.05 |
| 3,200 (Previous year: 3,200) 0.001% Series B Compulsorily Convertible Preference Shares (CCPS) of ₹ 10 each | 0.03 | 0.03 |
| 1,400 (Previous year: 1,400) 0.001% Series C Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each | 0.14 | 0.14 |
| 700 (Previous year: 700) 0.001% Series D Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each | 0.07 | 0.07 |
| 770 (Previous year: 770) 0.001% Series D1 Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each | 0.08 | 0.08 |
| 800 (Previous year: 800) 0.001% Series E Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each | 0.08 | 0.08 |
| 3,250 (Previous year: 3,250) 0.001% Series E1 Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each | 0.33 | 0.33 |
| 1,050 (Previous year: 1,050) 0.001% Series F Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each | 0.10 | 0.10 |
| **Total** | 0.88 | 0.88 |
| **Grand Total** | 1.00 | 1.00 |
| | | |
| **Issued, subscribed and paid-up** | | |
| **Equity Shares** | | |
| 11,212 (Previous year: 11,077) equity shares of ₹ 10 each fully paid up | 0.11 | 0.11 |
| **Total** | 0.11 | 0.11 |
| | | |
| **Preference Shares** | | |
| 5,179 (Previous year: 5,179) 0.001% Series A CCPS of ₹ 10 each fully paid up | 0.05 | 0.05 |
| 3,111 (Previous year: 3,111) 0.001% Series B CCPS of ₹ 10 each fully paid up | 0.03 | 0.03 |
| 1,343 (Previous year: 1,343) 0.001% Series C CCPS of ₹ 100 each fully paid up | 0.13 | 0.13 |
| 648 (Previous year: 648) 0.001% Series D CCPS of ₹ 100 each fully paid up | 0.06 | 0.06 |
| 762 (Previous year: 762) 0.001% Series D1 CCPS of ₹ 100 each fully paid up | 0.08 | 0.08 |
| 797 (Previous year: 797) 0.001% Series E CCPS of ₹ 100 each fully paid up | 0.08 | 0.08 |
| 3,247 (Previous Year: 3,247) 0.001% Series E1 CCPS of ₹ 100 each fully paid up | 0.32 | 0.32 |
| 1,023 (Previous Year: 1,023) 0.001% Series F CCPS of ₹ 100 each fully paid up | 0.10 | 0.10 |
| **Total** | 0.85 | 0.85 |
| **Grand Total** | 0.96 | 0.96 |

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

**(a) Reconciliation of shares outstanding at the beginning and at the end of the reporting period**

| | 31 March 2024 | | 31 March 2023 | |
|---|---|---|---|---|
| | Numbers in absolute | Amount | Numbers in absolute | Amount |
| **Equity Shares:** | | | | |
| At the commencement of the year | **11,077** | **0.11** | 10,986 | 0.11 |
| Shares issued during the year * | **135** | **0.00** | 91 | 0.00 |
| At the end of the year | **11,212** | **0.11** | 11,077 | 0.11 |
| *Amounts disclosed as 0.00 are below the disclosure thresholds of the company | | | | |
| **CCPS:** | | | | |
| **Series A-CCPS** | | | | |
| At the commencement and at the end of the year | **5,179** | **0.05** | 5,179 | 0.05 |
| **Series B-CCPS** | | | | |
| At the commencement and at the end of the year | **3,111** | **0.03** | 3,111 | 0.03 |
| **Series C-CCPS** | | | | |
| At the commencement and at the end of the year | **1,343** | **0.13** | 1,343 | 0.13 |
| **Series D-CCPS** | | | | |
| At the commencement and at the end of the year | **648** | **0.06** | 648 | 0.06 |
| **Series D1-CCPS** | | | | |
| At the commencement and at the end of the year | **762** | **0.08** | 762 | 0.08 |
| **Series E-CCPS** | | | | |
| At the commencement and at the end of the year | **797** | **0.08** | 797 | 0.08 |
| **Series E1-CCPS** | | | | |
| At the commencement and at the end of the year | **3,247** | **0.32** | 3,247 | 0.32 |
| **Series F-CCPS** | | | | |
| At the commencement and at the end of the year | **1,023** | **0.10** | 1,023 | 0.10 |

BSR & CO. LLP Chartered Accountants

SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

**(b) Rights, preferences and restrictions attached to equity shares**

The Company has a single class of equity shares. Accordingly, all equity shares rank equally with regard to dividends and share in the Company's residual assets. The equity shares are entitled to receive dividend as declared from time to time subject to payment of dividend to preference shareholders. The voting rights of an equity shareholder on a poll are in proportion to its share of the paid-up equity capital of the Company. On winding up of the Company, the holders of equity shares will be entitled to receive the residual assets of the Company, remaining after distribution of all preferential amounts in proportion to the number of equity shares held.

**(c) Rights, preferences and restrictions attached to preference shares**

0.001% Series A Compulsorily Convertible preference shares - Each preference share is convertible into one equity share of value ₹ 10 at the time as mentioned in the subscription agreement. The preference shareholders will have the voting rights as per the provisions of section 47(2) of the Companies Act, 2013.

0.001% Series B Compulsorily Convertible preference shares - Each preference share is convertible into one equity share of value ₹ 10 at the time as mentioned in the subscription agreement. The preference shareholders will have the voting rights as per the provisions of section 47(2) of the Companies Act, 2013.

0.001% Series C, 0.001% Series D and 0.001% Series D1 Compulsorily Convertible preference shares - Each preference share series is convertible as follows:

Series C and D1 - one equity share of ₹ 10 each

Series D - 0.88 equity share of ₹ 10 each

within 20 years from the date of allotment or satisfaction of conditions mentioned in the subscription agreement, whichever is earlier. The preference shareholders will have the voting rights as per the provisions of section 47(2) of the Companies Act, 2013.

0.001% Series E, and 0.001% Series E1 Compulsorily Convertible preference shares - Each preference share series is convertible as follows:

Series E - 0.86 equity share of ₹ 10 each

Series E1 - one equity share of ₹ 10 each

within 20 years from the date of allotment or satisfaction of conditions mentioned in the subscription agreement, whichever is earlier. The preference shareholders will have the voting rights as per the provisions of section 47(2) of the Companies Act, 2013.

0.001% Series F Compulsory Convertible preference shares is convertible as follows.

Series F - one equity share of ₹ 10 each

within 20 years from the date of allotment or satisfaction of conditions mentioned in the subscription agreement, whichever is earlier. The preference shareholders will have the voting rights as per the provisions of section 47(2) of the Companies Act, 2013."

**Rights of preference share holders**

As per the Investors Right Agreement dated 22nd May 2019 , "the agreement", as regards to Series A, B, C, D, D1, E, E1, F CCPS, the Company shall endeavour to complete either a Qualified Initial Public Offering or a Strategic Sale by 01 October, 2022 or Strat-Fin Exit by 01 October 23. The preference shareholders of the Company have not exercised this right till the balance sheet date.

Subsequent to the balance sheet date , as per the Shareholder Agreement dated 26th April 2024, the existing investors of series A,B,C,D,D1, E, have transferred their CCPS fully and existing investors of series E1 have transferred their CCPS partially to the new investors on 30 May 2024.

Subsequently, on 31 May 2024, the company has converted all series of preference shares into equity as per the conversion ratio.

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

**(d) Particulars of shareholders holding more than 5% shares of a class of shares**

| | 31 March 2024 | | 31 March 2023 | |
|---|---|---|---|---|
| | Number | % of total shares in the class | Number | % of total shares in the class |
| **Equity shares of ₹ 10 each fully paid up held by-** | | | | |
| Shashikanth Suryanarayanan | 4,800 | 42.81% | 4,800 | 43.33% |
| Amit Dixit | 908 | 8.10% | 908 | 8.20% |
| Manish Sharma | 592 | 5.28% | 592 | 5.34% |
| Mallika Iyer | 1,120 | 9.99% | 1,120 | 10.11% |
| Pushkaraj Pansa | 583 | 5.20% | 578 | 5.22% |
| Mortane Ventures | 883 | 7.88% | 883 | 7.97% |
| **Series A-CCPS of ₹ 10 each fully paid up held by-** | | | | |
| Nexus India Ventures Investments | 5,179 | 100% | 5,179 | 100% |
| **Series B-CCPS of ₹ 10 each fully paid up held by-** | | | | |
| TR Capital III Mauritius | 1,947 | 62.58% | 1,947 | 62.58% |
| Nexus India Ventures Investments | 1,164 | 37.42% | 1,164 | 37.42% |
| **Series C- CCPS of ₹ 100 each fully paid up held by-** | | | | |
| Nexus India Ventures Investments | 767 | 57.11% | 767 | 57.11% |
| TR Capital III Mauritius | 576 | 42.89% | 576 | 42.89% |
| **Series D-CCPS of ₹ 100 each fully paid up held by-** | | | | |
| Nexus India Ventures Investments | 648 | 100% | 648 | 100% |
| **Series D1- CCPS of ₹ 100 each fully paid up held by-** | | | | |
| Nexus India Ventures Investments | 762 | 100% | 762 | 100% |
| **Series E- CCPS of ₹ 100 each fully paid up held by-** | | | | |
| Nexus India Ventures Investments | 797 | 100% | 797 | 100% |
| **Series E1- CCPS of ₹ 100 each fully paid up held by-** | | | | |
| Entrust Family Office Legal And Trusteeship Services Private Limited | 3,247 | 100% | 3,247 | 100% |
| **Series F- CCPS of ₹ 100 each fully paid up held by-** | | | | |
| Iron Pillar Fund I Ltd | 644 | 63% | 644 | 63% |
| Iron Pillar India Fund | 379 | 37% | 379 | 37% |

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

**(d) a) Shares held by Promoters at the end of the year 31-03-2024**

| Sr. No | Promoter's Name | Class of Shares | No. of Shares | % of total Shares | % Change during the year |
|---|---|---|---|---|---|
| 1 | Mr. Shashikanth Suryanarayanan | Equity Shares | 4,800 | 42.81% | 0.00% |
| 2 | Mr. Amit Dixit | Equity Shares | 908 | 8.10% | 0.00% |
| 3 | Mr. Manish Sharma | Equity Shares | 592 | 5.28% | 0.00% |

**(d) b) Shares held by Promoters at the end of the year 31-03-2023**

| Sr. No | Promoter's Name | Class of Shares | No. of Shares | % of total Shares | % Change during the year |
|---|---|---|---|---|---|
| 1 | Mr. Shashikanth Suryanarayanan | Equity Shares | 4,800 | 43.33% | 13.23% |
| 2 | Mr. Amit Dixit | Equity Shares | 908 | 8.20% | 0.00% |
| 3 | Mr. Manish Sharma | Equity Shares | 592 | 5.34% | 0.00% |

**4 Reserves and surplus**

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| **Securities premium account** | | |
| At the commencement of the year | **1,136.11** | 1,127.70 |
| Premium on issue of equity shares | **11.24** | 4.05 |
| Transfer to security premium - Options exercised during the year | **13.03** | 4.36 |
| At the end of the year | **1,160.38** | 1,136.11 |
| **Surplus/(Deficit) (Profit and loss balance)** | | |
| At the commencement of the year | **21.59** | (89.20) |
| Profit for the year | **278.37** | 110.79 |
| **At the end of the year** | **299.96** | 21.59 |
| **Employee Stock Options** | | |
| At the commencement of the year | **102.12** | 80.80 |
| Employee compensation expense for the year | **16.16** | 25.68 |
| Transfer to security premium - Options exercised during the year | **(13.03)** | (4.36) |
| At the end of the year | **105.25** | 102.12 |
| **Capital Reserve** | | |
| At the commencement of the year | **23.40** | 23.40 |
| Government Grant for the year (Refer Note 2.17) | **24.81** | - |
| At the end of the year | **48.21** | 23.40 |
| **Total reserves and surplus** | **1,613.80** | 1,283.22 |

B.S.R. & Co. LLP Chartered Accountants

SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

## 6 Long -term borrowings

| | Non-current portion | | Current portion* | |
|---|---|---|---|---|
| | 31 March 2024 | 31 March 2023 | 31 March 2024 | 31 March 2023 |
| Term Loans - Secured | | | | |
| **From Banks** | | | | |
| - HDFC Bank Limited - Term Loan | 75.70 | 30.18 | 50.70 | 30.13 |
| - HDFC Bank Limited - Car Loan | - | 0.84 | 0.84 | 0.84 |
| - HDFC Bank Limited - ECLGS Loan | - | 3.55 | 3.55 | 7.10 |
| - ICICI Bank Limited - Term Loan | - | 90.08 | - | 36.51 |
| - Indusind Bank Limited - Term Loan | 52.11 | 71.06 | 18.95 | 18.95 |
| -EXIM Bank - Term Loan | 145.00 | 90.00 | 20.00 | 10.00 |
| -Yes Bank Limited - Term Loan | 44.37 | - | 0.62 | - |
| **From Others** | | | | |
| - BAJAJ Finance Limited - ECLGS Loan | - | 9.28 | - | 14.71 |
| - BAJAJ Finance Limited - Term Loan | 108.80 | 53.18 | 42.53 | 18.52 |
| | 425.98 | 351.10 | 137.19 | 136.76 |

* amounts disclosed under 'short term borrowings'.

**Note 1**

**Details of outstanding borrowings *(current year)***

| Loans | Outstanding loan amount | Repayment in instalments | Repayment | | Rate of interest |
|---|---|---|---|---|---|
| | | | Starting from | Ending on | |
| HDFC Bank Ltd - Term Loan | 33.18 | 60 (Monthly) | August 2019 | January 2025 | 9.59% |
| | | 59 (Monthly) | September 2019 | January 2025 | |
| | | 56 (Monthly) | November 2019 | January 2025 | |
| | | 60 (Monthly) | December 2020 | November 2025 | |
| | 93.22 | 60 (Monthly) | August 2023 | July 2028 | 9.07% |
| HDFC Bank Ltd - Car Loan | 0.84 | 60 (Monthly) | March 2020 | February 2025 | 8.60% |
| HDFC Bank Ltd- ECLGS Loan | 3.55 | 36 (Monthly) | October 2021 | September 2024 | 9.25% |
| Indusind Bank - Term Loan | 71.06 | 19 (Quarterly) | June 2023 | December 2027 | 9.77% |
| Exim Bank - Term Loan | 90.00 | 20 (Quarterly) | October 2023 | July 2028 | 8.95% |
| | 75.00 | 16 (Quarterly) | April 2025 | January 2029 | 8.95% |
| Yes Bank Ltd - Term Loan | 44.99 | 72 (Monthly) | March 2025 | February 2031 | 8.97% |
| Bajaj Finance Limited - Term Loan | 53.18 | 60 (Monthly) | August 2021 | August 2026 | 9.50% |
| | 98.15 | 54 (Monthly) | March 2024 | August 2028 | 9.40% |

B S R & Co. LLP Chartered Accountants

SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

**Details of outstanding borrowings (previous year)**

| Loans | Outstanding loan amount | Repayment in instalments | Repayment | | Rate of interest |
|---|---|---|---|---|---|
| | | | Starting from | Ending on | |
| HDFC Bank Ltd - Term Loan | 63.31 | 60 (Monthly) | August 2019 | January 2025 | 9.43% |
| | | 59 (Monthly) | September 2019 | January 2025 | |
| | | 56 (Monthly) | November 2019 | January 2025 | |
| | | 60 (Monthly) | December 2020 | November 2025 | |
| HDFC Bank Ltd - Car Loan | 1.68 | 60 (Monthly) | March 2020 | February 2025 | 8.60% |
| HDFC Bank Ltd- ECLGS Loan | 10.65 | 36 (Monthly) | October 2021 | September 2024 | 9.25% |
| ICICI Bank Ltd - Term Loan | 32.15 | 14 (Quarterly) | January 2022 | April 2025 | 8.40% |
| | 94.44 | 17 (Quarterly) | February 2023 | May 2027 | 11.25% |
| Indusind Bank - Term Loan | 90.00 | 19 (Quarterly) | June 2023 | December 2027 | 8.45% |
| Exim Bank - Term Loan | 100.00 | 20 (Quarterly) | October 2023 | July 2028 | 8.50% |
| Bajaj Finance Limited-ECLGS Loan | 23.99 | 36 (Monthly) | November 2021 | October 2024 | 9.90% |
| Bajaj Finance Limited - Term Loan | 71.70 | 60 (Monthly) | August 2021 | July 2026 | 9.40% |

**Note 2**

The details of security as follows:

1. First Pari Passu charge by way of hypothecation in favour of HDFC Bank Limited, Bajaj Finance Limited, Export Import Bank of India, Indusind Bank Limited and Yes Bank Limited on all movables assets at all location's of the company
2. First Pari Passu charge by way of mortgage in favour of HDFC Bank Limited, Bajaj Finance Limited, Export Import Bank of India and Yes Bank Limited, of all immovable security along with land and building thereon both present and future
3. Extension of second ranking charge in favour of Bajaj Finance Limited and HDFC Bank Limited over existing primary and collateral securities including mortgages created in favour of the Banks

## 6 Other long-term liabilities

| | [illegible] | [illegible] |
|---|---|---|
| Accrual for straight lining of rent | 17.83 | 13.90 |
| | 17.83 | 13.90 |

## 7 Long term provisions

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| **Gratuity (refer note 31)** | 34.89 | 26.34 |
| Compensated absences | 4.93 | 5.32 |
| Warranty Provision (refer note 43) | 4.60 | 4.63 |
| | 44.42 | 36.29 |

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

## 8 Short-term borrowings

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| **Loans repayable on demand (secured)** | | |
| Short Term Revolving Loan Facility from Bajaj Finance Limited | **50.00** | 130.00 |
| Export Packing Credit Facility from HDFC Bank Limited | **40.00** | 44.53 |
| Cash Credit Facility from ICICI Bank Limited | **3.66** | 52.95 |
| Export Packing Credit Facility from ICICI Bank Limited | **50.00** | - |
| Cash Credit Facility from IndusInd Bank Limited | **149.51** | 06.09 |
| Working Capital Demand Loan from Yes Bank Limited | **100.00** | - |
| Current maturities of long term debt (refer note 5) | **137.19** | 136.76 |
| | **530.36** | 450.33 |

1 Cash credit facility from HDFC Bank, carried interest of 9.37% p.a. (previous year : 8.50% p.a.) computed on a monthly basis on the actual amount utilised and were repayable on demand. These were primarily secured by hypothecation of all current assets, both present and future.

2 Short Term Revolving Loan Facility ("STRL") from Bajaj Finance carry interest of 9.00% p.a. (previous year : 9.25 %) p.a. computed on a monthly basis on the actual amount utilised and are renewable after every three months. STRL facility is primarily secured by hypothecation of all current assets, both present and future.

3 Export Packing Credit Facility from HDFC Bank carried interest of 6.75% (previous year : 5.50% p.a. to 6.96% p.a. p.a.) computed on a monthly basis and were repayable on due date. These were primarily secured by hypothecation of all current assets, both present and future.

4 Cash credit facility from ICICI Bank, carried interest of 9.35% p.a. (previous year : 11% p.a.) computed on a monthly basis on the actual amount utilised and were repayable on demand. Working capital demand loan facility with ICICI Bank carried interest of Nil (previous year 9.40%), computed on a monthly basis. These were primarily secured by hypothecation of all current assets, both present and future.

5 Export Packing Credit from ICICI Bank, carried interest of 6% p.a. to 6.40% p.a. (previous year : 5.50% to 6.86%) computed on a monthly basis on the actual amount utilised and were repayable on demand. These were primarily secured by hypothecation of all current assets, both present and future placed with ICICI Bank Ltd.

6 Cash credit facility from IndusInd Bank, carried interest of 8.60% p.a. (previous year : 9.00% p.a.) computed on a monthly basis on the actual amount utilised and were repayable on demand. These were primarily secured by hypothecation of all current assets, both present and future. Lien in favour of IndusInd Bank on three fixed deposits of ₹ 11.20 Mn., Rs. 2.20 & Rs. 8.30 Mn. (previous year two fixed deposit of ₹ 10 Mn and Rs 2 Mn.) placed with IndusInd Bank Ltd.

7 Working Capital Demand Loan from Yes Bank carried interest of 8.10% (Previous Year :- Nil) computed on a monthly basis on the actual amount utilised and were repayable on demand. These were primarily secured by hypothecation of all current assets, both present and future.

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

## 9 Trade payables

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| (A) Total outstanding dues of micro enterprises and small enterprises (refer note no 35) | 28.80 | 20.68 |
| (B) Total outstanding dues of creditors other than micro enterprise and small enterprise | 738.53 | 644.20 |
| | 767.33 | 664.88 |

## 9 a) Trade payables ageing schedule

| | Particulars | Outstanding for following periods from due date of payment 31-03-2024 | | | | | |
|---|---|---|---|---|---|---|---|
| | | Current but not due | Less than 1 year | 1-2 years | 2-3 years | More than 3 years | Total |
| (i) | MSME | 28.80 | - | - | - | - | 28.80 |
| (ii) | Others | 408.05 | 49.03 | 5.25 | 3.87 | - | 466.20 |
| (iii) | Disputed Dues - MSME | - | - | - | - | - | - |
| (iv) | Disputed Dues - Others | - | - | - | - | - | - |
| (v) | Provisions | 272.33 | - | - | - | - | 272.33 |
| | Total | 709.18 | 49.03 | 5.25 | 3.87 | - | 767.33 |

| | Particulars | Outstanding for following periods from due date of payment 31-03-2023 | | | | | |
|---|---|---|---|---|---|---|---|
| | | Current but not due | Less than 1 year | 1-2 years | 2-3 years | More than 3 years | Total |
| (i) | MSME | 20.61 | 0.07 | - | - | - | 20.68 |
| (ii) | Others | 417.30 | 59.36 | 15.34 | 0.01 | - | 492.01 |
| (iii) | Disputed Dues - MSME | - | - | - | - | - | - |
| (iv) | Disputed Dues - Others | - | - | - | - | - | - |
| (v) | Provisions | 152.19 | - | - | - | - | 152.19 |
| | Total | 590.10 | 59.43 | 15.34 | 0.01 | - | 664.88 |

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

## 10 Other current liabilities

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Employee related payables | **79.30** | 58.14 |
| Accrual for straight lining of rent | **1.20** | 3.93 |
| Statutory dues payable | **70.41** | 21.73 |
| Advance from customers * | **0.20** | 0.00 |
| Creditors for fixed assets | **6.48** | 18.37 |
| Interest accrued and not due | **4.11** | 2.68 |
| Provision for sales discount | **68.53** | - |
| | **230.23** | 104.85 |

## 11 Short term provisions

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| **Provision for employee benefits** | | |
| -Gratuity (refer note 31) | **5.76** | 3.75 |
| -Compensated absences | **0.38** | 0.46 |
| Warranty Provision (refer note 43) | **4.60** | 5.61 |
| | **10.74** | 9.82 |

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

## 12 A. Property, plant and equipment

| Description | Land | Building | Jigs & Fixtures | Electric Installa- [redacted] | Plant and machinery | Furniture and [redacted] | Computers | Vehicles | Leasehold improve- [redacted] | Office equipment | Total |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **Gross block** | | | | | | | | | | | |
| Balance as at 1 April 2022 | 23.33 | 26.40 | 32.00 | 4.20 | 685.10 | 45.80 | 56.00 | 8.10 | 70.20 | 30.90 | 1,018.03 |
| Additions | - | 0.06 | 8.35 | 2.57 | 120.09 | 11.30 | 30.01 | 0.62 | 15.72 | 7.22 | 195.85 |
| Disposals | - | - | - | - | 2.17 | 5.08 | 2.73 | - | 0.46 | 0.12 | 10.56 |
| Balance as at 31 March 2023 | 23.33 | 26.46 | 40.35 | 6.77 | 805.93 | 55.02 | 113.28 | 8.72 | 85.46 | 38.00 | 1,203.32 |
| **Balance as at 1 April 2023** | **23.33** | **26.46** | **40.35** | **6.77** | **805.93** | **55.02** | **113.28** | **8.72** | **85.46** | **38.00** | **1,203.32** |
| **Additions** | **-** | **1.48** | **10.18** | **4.58** | **313.79** | **7.06** | **31.15** | **1.13** | **22.89** | **8.72** | **400.98** |
| **Disposals** | **-** | **-** | **1.89** | **-** | **16.35** | **4.58** | **0.83** | **-** | **0.83** | **0.38** | **24.86** |
| **Balance as at 31 March 2024** | **23.33** | **27.94** | **48.64** | **11.35** | **1,103.37** | **57.50** | **143.60** | **9.85** | **107.52** | **46.34** | **1,579.44** |
| **Depreciation** | | | | | | | | | | | |
| Balance as at 1 April 2022 | - | 10.80 | 22.60 | 1.20 | 285.30 | 21.20 | 60.40 | 4.40 | 24.20 | 14.60 | 451.30 |
| Depreciation for the year | - | 1.49 | 8.87 | 0.95 | 83.22 | 8.36 | 22.28 | 1.00 | 12.10 | 8.71 | 146.98 |
| Accumulated depreciation on disposal | - | - | - | - | 1.78 | 4.31 | 2.65 | - | 0.47 | 0.12 | 9.33 |
| Balance as at 31 March 2023 | - | 12.29 | 31.47 | 2.15 | 366.74 | 25.85 | 80.03 | 5.40 | 35.83 | 23.19 | 588.95 |
| **Balance as at 1 April 2023** | **-** | **12.29** | **31.47** | **2.15** | **366.74** | **25.85** | **80.03** | **5.40** | **35.83** | **23.19** | **588.95** |
| **Depreciation for the year** | **-** | **1.43** | **9.32** | **1.52** | **107.53** | **8.28** | **30.42** | **0.99** | **15.65** | **8.39** | **183.73** |
| **Accumulated depreciation on disposal** | **-** | **-** | **1.89** | **-** | **11.50** | **3.94** | **0.83** | **-** | **0.68** | **0.38** | **19.22** |
| **Balance as at 31 March 2024** | **-** | **13.72** | **38.90** | **3.67** | **462.77** | **30.19** | **115.62** | **6.39** | **51.00** | **31.20** | **753.48** |
| **Net block** | | | | | | | | | | | |
| As at 31 March 2023 | 23.33 | 14.17 | 8.88 | 4.62 | 439.19 | 29.17 | 27.25 | 3.32 | 49.63 | 14.01 | 614.37 |
| **As at 31 March 2024** | **23.33** | **14.22** | **9.74** | **7.68** | **640.60** | **27.31** | **27.98** | **3.46** | **56.52** | **15.14** | **825.98** |

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

**12B. Capital work-in-progress**

| Description | Building | Jigs & Fixtures | Electric Installation | Plant and machinery | Furniture and fixtures | Computers | Vehicles | Leasehold improvements | Office equipment | Total |
|---|---|---|---|---|---|---|---|---|---|---|
| Balance as at 1 April 2022 | - | - | - | 1.20 | 0.20 | 0.20 | - | 0.10 | 0.40 | 2.10 |
| Additions | 0.06 | 0.06 | 2.64 | 139.96 | 11.10 | 29.53 | 0.62 | 19.32 | 6.93 | 219.02 |
| Capitalised during the year | 0.06 | 0.05 | 2.57 | 120.00 | 11.30 | 30.01 | 0.62 | 15.72 | 7.22 | 196.85 |
| Balance as at 31 March 2023 | - | 0.01 | 0.27 | 21.16 | 0.00 | 0.02 | - | 3.70 | 0.11 | 25.27 |
| **Balance as at 1 April 2023** | **-** | **0.01** | **0.27** | **21.16** | **0.00** | **0.02** | **-** | **3.70** | **0.11** | **25.27** |
| **Additions** | **1.45** | **10.31** | **4.29** | **320.83** | **7.06** | **31.20** | **1.14** | **21.81** | **9.45** | **407.54** |
| **Capitalised during the year** | **1.45** | **10.18** | **4.58** | **313.95** | **7.06** | **31.15** | **1.14** | **22.89** | **6.72** | **401.10** |
| **Balance as at 31 March 2024** | **-** | **0.14** | **-** | **28.04** | **0.00** | **0.07** | **-** | **2.62** | **0.84** | **31.71** |

| Capital Work in Progress | Amount in CWIP for a period of 01 April 2023 to 31 March 2024 | | | | |
|---|---|---|---|---|---|
| | Less than 1 year | 1-2 years | 2-3 years | More than 3 years | Total |
| Projects in progress | 29.21 | 2.50 | - | - | 31.71 |
| Projects temporarily suspended | - | - | - | - | - |
| **[illegible]** | | | | | |
| Projects in progress | 25.27 | - | - | - | 25.27 |
| Projects temporarily suspended | - | - | - | - | - |

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

## 13 A. Intangible fixed assets

| Description | Product Development | Software (Other than internally developed) | Goodwill | Total |
|---|---|---|---|---|
| **Gross block** | | | | |
| Balance as at 1 April 2022 | 659.50 | 98.20 | 121.70 | 879.50 |
| Additions | 204.06 | 18.31 | - | 222.37 |
| Deletion | - | 1.27 | - | 1.27 |
| Balance as at 31 March 2023 | 863.56 | 115.24 | 121.70 | 1,100.60 |
| **Balance as at 1 April 2023** | **863.66** | **115.24** | **121.70** | **1,100.60** |
| **Additions** | **134.00** | **24.33** | **-** | **158.33** |
| **Deletion** | **-** | **-** | **-** | **-** |
| **Balance as at 31 March 2024** | **997.66** | **139.57** | **121.70** | **1,258.93** |
| Balance as at 1 April 2022 | 252.50 | 53.00 | 121.70 | 427.20 |
| Amortization for the year | 138.51 | 14.87 | - | 153.38 |
| Accumulated depreciation on disposal | - | 1.27 | - | 1.27 |
| Balance as at 31 March 2023 | 391.01 | 66.60 | 121.70 | 579.31 |
| **Balance as at 1 April 2023** | **391.01** | **66.60** | **121.70** | **579.31** |
| **Amortization for the year** | **154.46** | **17.86** | **-** | **172.32** |
| **Accumulated depreciation on disposal** | **-** | **-** | **-** | **-** |
| **Balance as at 31 March 2024** | **545.47** | **84.46** | **121.70** | **751.63** |
| **Net block** | | | | |
| **As at 31 March 2023** | **472.65** | **48.64** | **-** | **521.29** |
| **As at 31 March 2024** | **452.19** | **55.11** | **-** | **507.30** |

## 13 B. Intangible fixed assets under development

| Description | Product Development | Software (Other than internally developed) | Total |
|---|---|---|---|
| Balance as at 1 April 2022 | 313.10 | 0.20 | 313.30 |
| Additions | 302.92 | 19.37 | 322.29 |
| Capitalised during the year | 204.06 | 18.31 | 222.37 |
| Impairment Loss | (0.18) | | (0.18) |
| Balance as at 31 March 2023 | 411.78 | 1.26 | 413.04 |
| **Balance as at 1 April 2023** | **411.78** | **1.26** | **413.04** |
| **Additions** | **318.46** | **24.21** | **342.67** |
| **Capitalised during the year** | **134.00** | **24.33** | **158.33** |
| **Impairment Loss** | **10.75** | **-** | **10.75** |
| **Balance as at 31 March 2024** | **585.49** | **1.14** | **586.63** |

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

### 13B (i) Intangible Assets under development ageing schedule

| [illegible] | [illegible] | [illegible] | [illegible] | [illegible] | [illegible] |
|---|---|---|---|---|---|
| **Projects in progress** | **249.42** | **185.20** | **97.11** | **74.80** | **586.63** |
| **Projects temporarily suspended** | - | - | - | - | - |

| [illegible] | [illegible] | [illegible] | [illegible] | [illegible] | [illegible] |
|---|---|---|---|---|---|
| Projects in progress | 231.74 | 96.70 | 27.12 | 57.45 | 413.01 |
| Projects temporarily suspended | - | - | - | - | - |

* Work with respect to the projects under development for more than 3 years, is under progress and these projects are expected to commercialise in the coming years

## 14 Deferred tax assets

As per para 17 of AS 22 'Where an enterprise has unabsorbed depreciation or carry forward of losses under tax laws, deferred tax assets should be recognized only to the extent that there is virtual certainty supported by convincing evidence that sufficient future taxable income will be available against which such deferred tax assets can be realized'. In the absence of virtual certainty, the Company has not recognized deferred tax assets on brought forward / current year tax losses and unabsorbed depreciation

## 15 Long-term loans and advances

*(unsecured, considered good)*

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| **To parties other than related parties** | | |
| Capital advances | **31.58** | 67.81 |
| Income tax recoverable | **1.41** | 3.99 |
| | **32.99** | 71.80 |

## 16 Other non-current assets

*(Unsecured, considered good unless otherwise stated)*

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Bank Deposits (due to mature after 12 months from the reporting date) (refer note 19)* | **1.61** | 0.85 |
| Security deposits | **40.13** | 36.37 |
| Prepaid expenses | **1.52** | 3.16 |
| Receivable from Government - Grants | **8.95** | 13.40 |
| | **52.21** | 53.78 |

* Includes seven fixed deposits of ₹ 1.48 Mn (previous year : Two Fixed Deposits of Rs.0.02 Mn) given under Lien to ICICI Bank Ltd against Bank Guarantee to Custom Authority, One Fixed Deposit of ₹ 0.13 Mn (previous year : ₹ 0.7 Mn) given under Lien to IDBI Bank against Bank Guarantee to Custom Authority

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

## 17 Inventories

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Raw materials ( includes Goods in transit of ₹ 223.65 Mn (Previous year ₹ 130.86 Mn)) | 1,001.40 | 764.42 |
| Work-in-progress | 83.45 | 83.63 |
| Finished products | 91.64 | 53.88 |
| | 1,176.49 | 901.93 |

## 18 Trade receivables

*(Unsecured, considered good)*

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Receivables outstanding for a period exceeding six months from the date they became due for payment | | |
| (a) unsecured, considered good | 2.56 | 0.81 |
| (b) unsecured, considered doubtful | - | 3.36 |
| Less : Provision for doubtful receivables | - | (3.36) |
| | 2.56 | 11.81 |
| - Considered good | 270.35 | 152.98 |
| | 272.91 | 153.79 |

* Out of the total trade receivables for FY 23-24 Rs. NIL ( FY 2022-23 Rs 3.36 Mn), receivable from the export customer - Briggs and Stratton, are not recoverable. The Company had provided for this amount and had made application to the RBI seeking for approval to write-off the same from books of accounts in the previous year. In the current financial year, the company has written off the receivable balance against the provision made in the previous year.

## 18 a) Trade Receivables ageing schedule

| Particulars | Outstanding for following periods from due date of payment - 31-03-2024 | | | | | | |
|---|---|---|---|---|---|---|---|
| | Current but not due | Less than 6 months | 6 months -1 [redacted] | 1-2 years | 2-3 years | More than 3 [redacted] | Total |
| (i) Undisputed Trade receivables – considered good | 201.54 | 51.69 | 1.38 | 1.18 | - | - | 255.79 |
| (ii) Undisputed Trade Receivables – considered doubtful | - | - | - | - | - | - | - |
| (iii) Disputed Trade Receivables considered good | - | - | - | - | - | - | - |
| (iv) Disputed Trade Receivables considered doubtful | - | - | - | - | - | - | - |
| (v) Provision for doubtful debt receivable | - | - | - | - | - | - | - |
| (vi) Unbilled Receivable | - | - | - | - | - | - | 17.12 |
| Total | 201.54 | 51.69 | 1.38 | 1.18 | - | - | 272.91 |

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

## 18 b) Trade Receivables ageing schedule

| Particulars | Outstanding for following periods from due date of payment - 31-03-2023 | | | | | | |
|---|---|---|---|---|---|---|---|
| | Current but not due | Less than 6 months | 6 months -1 year | 1-2 years | 2-3 years | More than 3 years | Total |
| (i) Undisputed Trade receivables – considered good | 130.29 | 18.99 | 0.81 | - | - | - | 150.09 |
| (ii) Undisputed Trade Receivables – considered doubtful | - | - | - | - | - | - | - |
| (iii) Disputed Trade Receivables considered good | | | | - | - | - | - |
| (iv) Disputed Trade Receivables considered doubtful | - | - | - | | 3.36 | | 3.36 |
| (v) Provision for doubtful debt receivable | - | - | - | - | (3.36) | - | (3.36) |
| (vi) Unbilled receivable | - | - | - | - | - | - | 3.70 |
| Total | 130.29 | 18.99 | 0.81 | - | - | - | 153.79 |

## 19 Cash and bank balances

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Cash and cash equivalents | | |
| Cash on hand | | |
| On current accounts | 0.02 | - |
| | 35.09 | 32.15 |
| **Other bank balances** | 35.11 | 32.15 |
| Bank deposits with original maturity of more than 3 months and balance maturity less than 12 months* | 38.03 | 51.89 |
| | 73.14 | 84.04 |

* Includes Lien in favour of ICICI Bank Three fixed deposit of ₹ 2.48 Mn (previous year ₹ 0.05 Mn)

IndusInd Bank Ltd six fixed deposit of ₹ 34 Mn. ( Previous Year ₹ 24.20 Mn.) against Working Capital and Term Loan Facility.

IDB Bank on Two fixed Deposits of ₹ 1.46 Mn (previous year ₹ 0.1 Mn and ₹ 0.7 Mn) against Bank Guarantee to Custom Authority.

HDFC Bank Limited on Fixed deposit of Nil (Previous year ₹ 0.1 mn) against working capital facility
Mahindra & Mahindra Finance on fixed deposit of Nil (Previous year 26.2 mn) against bill discounting facility

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| **Details of bank balances / deposits** | | |
| Bank deposits due to mature within 12 months of the reporting date included under 'Other bank balances' | 38.03 | 51.89 |
| Bank deposits due to mature after 12 months of the reporting date included under 'Other non-current assets' (refer note 16) | 1.61 | 0.85 |
| | 39.64 | 52.74 |

## 20 Short-term loans and advances

(unsecured, considered good)

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| **To parties other than related parties** | | |
| Prepaid expenses | 32.43 | 34.77 |
| Advances to Suppliers | 20.39 | 12.73 |
| Advances to employees | 0.11 | 0.15 |
| Interest Accrued on deposits | 0.34 | 0.99 |
| Other advances | 0.01 | 0.01 |
| Advance custom duty | 20.06 | 0.76 |
| Cenvat credit receivable | 0.46 | 11.43 |
| | 73.80 | 55.86 |

## 21 Other current assets

(unsecured, considered good)

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Receivable from Government - Grants | 4.83 | 17.30 |
| Accrued Export Incentives | 3.66 | 2.94 |
| | 8.49 | 20.24 |

## 22 Revenue from operations

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Sale of products | 5,230.25 | 4,145.90 |
| Sale of services | 63.91 | 75.60 |
| Other operating revenue | 12.37 | 8.60 |
| | 5,306.53 | 4,230.28 |

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# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

| Break-up of revenue from sale of products | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Manufactured goods: | | |
| Motor Controls | 3,177.01 | 2,233.01 |
| Supervisory Controls | 615.04 | 652.24 |
| Engine Controls | 725.97 | 644.63 |
| Other Controls | 712.23 | 616.02 |
| | 5,230.25 | 4,145.90 |

| Break-up of revenue from sale of products | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Royalty on Licenses | 17.81 | 15.60 |
| Development Charges | 46.22 | 59.75 |
| Job Work Charges | 0.08 | 0.33 |
| | 63.91 | 75.69 |

| Break-up of revenue from sale of products | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Scrap Sales | 5.02 | 3.44 |
| Export Incentives and Miscellaneous Income | 7.35 | 5.25 |
| | 12.37 | 8.69 |

* Includes material below 10% of total value

## 23 Other Income

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Interest income | 2.92 | 4.25 |
| Gain on account of foreign exchange fluctuations (net) | 26.83 | - |
| Government Grant for the year (Refer Note 2.17) | 13.78 | 56.17 |
| | 43.53 | 60.43 |

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# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

## 24 Cost of materials consumed

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Inventory at the beginning of the year | 764.42 | 779.50 |
| Purchases | 3,904.72 | 3,024.52 |
| Inventory at the end of the year | 1,001.40 | 764.42 |
| | 3,667.74 | 3,039.60 |
| Less: Capitalised during the year | - | - |
| | 3,667.74 | 3,039.60 |

| Breakup of cost of material consumed | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Surface Mounted Device Components (SMD Components) | 2,646.55 | 2,421.74 |
| Packing, Consumables | 244.09 | 227.00 |
| Printed Circuit Boards | 282.05 | 94.50 |
| Electricals | 55.73 | 70.93 |
| Casing | 168.05 | 98.76 |
| Motors | 37.10 | 35.09 |
| Others* | 54.17 | 62.68 |
| | 3,667.74 | 3,039.60 |

* includes material below 10% of total value

## 25 Changes in inventories of finished goods and work-in progress

| Particulars | 31 March 2024 | | |
|---|---|---|---|
| | Opening Inventory | Closing Inventory | (Increase)/ Decrease in Inventory |
| **Finished Goods** | | | |
| **Motor Controls** | 16.45 | 51.45 | (35.00) |
| **Supervisory Controls** | 0.04 | 9.80 | (9.76) |
| **Engine Controls** | 26.46 | 18.30 | 8.16 |
| **Other Controls** | 10.93 | 12.10 | (1.17) |
| | 53.88 | 91.65 | (37.77) |
| **Work-in-progress** | 83.63 | 83.45 | 0.18 |
| | 83.63 | 83.45 | 0.18 |
| **Changes in inventories of finished goods and work-in-progress** | 137.51 | 175.10 | (37.59) |

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

| Particulars | 31 March 2023 | | |
|---|---|---|---|
| | Opening Inventory | Closing Inventory | (Increase)/ Decrease in Inventory |
| Finished Goods | | | |
| Motor Controls | 57.20 | 16.45 | 40.75 |
| Supervisory Controls | - | 1.04 | (1.04) |
| Engine Controls | 14.30 | 26.46 | (12.16) |
| Other Controls | 11.50 | 10.93 | 0.57 |
| | 83.00 | 53.88 | 29.12 |
| Work-in-progress | 48.20 | 83.63 | (35.43) |
| | 48.20 | 83.63 | (35.43) |
| Changes in inventories of finished goods and work-in-progress | 131.19 | 137.51 | (6.31) |

## 26 Employee benefits expenses

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Salaries, wages and bonus | **506.62** | 405.45 |
| Gratuity | **15.09** | 6.71 |
| Contribution to Provident and other funds | **13.29** | 9.02 |
| Employee stock compensation expense (Refer ESOP note no 41) | **16.18** | 25.62 |
| Staff welfare expenses | **54.92** | 34.92 |
| | **606.08** | 482.74 |
| Less : Capitalised during the year | **(174.10)** | (155.17) |
| | **431.98** | 327.57 |

## 27 Finance cost

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Interest expenses | **115.91** | 90.08 |
| Less : Capitalised during the year | **-** | - |
| | **115.91** | 90.08 |

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

## 28 Depreciation and amortisation

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Depreciation of tangible fixed assets | 183.73 | 146.98 |
| Amortisation of intangible fixed assets | 172.32 | 153.38 |
| | 356.05 | 300.36 |
| Less : Capitalised during the year | (39.35) | (37.80) |
| | 316.70 | 262.56 |

## 29 Other expenses

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Consumption of stores and spares | 46.72 | 40.79 |
| Labour charges - Direct | 170.90 | 136.29 |
| Labour charges - non-production | 49.90 | 41.35 |
| Power and fuel | 45.80 | 37.22 |
| Warranty expenses | 3.28 | 3.92 |
| Repair and maintenance | | |
| Building | 15.40 | 12.81 |
| Machinery | 18.86 | 18.62 |
| Others | 9.98 | 6.88 |
| Rent (refer note 32) | 73.23 | 69.47 |
| Payment to auditors | 2.14 | 1.90 |
| Legal and professional charges | 49.03 | 64.50 |
| Security expenses | 11.83 | 9.75 |
| Telephone expenses | 5.31 | 5.16 |
| Travelling expenses | 24.15 | 24.52 |
| Printing and Stationery | 1.89 | 1.78 |
| Advertisement and business promotion | 0.63 | 0.73 |
| Loss on sale of fixed assets | 3.28 | 0.15 |
| Rates and taxes | 0.38 | 0.04 |
| Loss on impairment of Intangible Assets | 10.76 | 0.18 |
| Loss on account of foreign exchange fluctuations (net) | - | 21.69 |
| CSR Expenses (refer Note 45) | 1.80 | 0.30 |
| Miscellaneous expenses | 73.18 | 49.38 |
| Less : Capitalised during the year | (104.99) | (110.03) |
| | 514.45 | 447.42 |
| **Note : Payment to Auditors** | | |
| **As auditor** | | |
| Statutory audit | 1.80 | 1.65 |
| Tax audit | 0.20 | 0.20 |
| Out of pocket expense reimbursed | 0.14 | 0.05 |
| | 2.14 | 1.90 |

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# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

## 30 Earnings per share (EPS)

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| **Basic earnings per share** | | |
| Net profit after tax attributable to equity share holders for basic EPS | 278.37 | 110.79 |
| Weighted average number of equity shares of face value ₹ 10 each outstanding during the year for basic EPS (In Nos.) | 11,174 | 11,017 |
| Basic earnings per equity share face value of ₹ 10 (in ₹) | 24,912 | 10,056 |
| **Diluted earnings per share** | | |
| Profit after tax attributable to equity share holders for diluted EPS | 278.37 | 110.79 |
| Weighted average number of equity shares of face value ₹ 10 each outstanding during the year for diluted EPS (In Nos.) | 28,168 | 28,014 |
| Diluted earnings per equity share face value of ₹ 10 (in ₹) | 9,883 | 3,955 |

## 31 Employee benefits: Post-employment benefit plans

### Defined contribution plan

The Company makes contributions, determined as a specified percentage of employee salaries, in respect of qualifying employees towards Provident Fund, which is a defined contribution plan. The Company has no obligations other than to make the specified contributions. The contributions are charged to the Statement of Profit and Loss as they accrue. The amount recognized as an expense towards contribution to Provident Fund, Employees State Insurance for the year aggregated to Rs 13.29 Mn (2023: ₹ 9.97 Mn)

### Defined benefit plan

In accordance with the Payment of Gratuity Act, 1972, the Company is required to provide post employment benefit to its employees in the form of gratuity. The present value of the obligation under such defined benefit plan is determined at each Balance Sheet date based on an actuarial valuation using the projected unit credit method. In accordance with AS 15 (Revised), the disclosures relating to actuarial assumptions are provided below

### [A] Statement showing changes in present value of obligation

| Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|
| **Defined benefit obligation at the beginning** | 49.00 | 41.30 |
| Current service cost | 6.65 | 6.25 |
| Interest cost | 3.47 | 2.83 |
| Past service cost | - | - |
| Prior service cost - non vested benefits | - | - |
| Curtailments | - | - |
| Benefits paid directly by the company | (3.43) | (3.15) |
| Benefits paid from fund | (0.53) | (0.71) |
| Net transfer in/(out) (including the effect of any business combinations/divestitures | - | - |
| Actuarial gain on obligation | 4.20 | 2.48 |
| **Defined benefit obligation at the end** | 61.36 | 49.00 |

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

**[B] Table showing changes in the fair value of plan assets**

| Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|
| **Fair value of plan assets at the beginning** | **18.91** | 17.70 |
| Expected return on plan assets | **1.37** | 1.28 |
| Employer contributions | **1.10** | 3.04 |
| Employees contributions | **-** | (3.15) |
| Benefits paid | **(0.53)** | (0.71) |
| Expenses debited by LIC | **(0.15)** | (0.15) |
| Net transfer in/out; (including the effect of any business combinations/divestitures) | **-** | - |
| Actuarial gain/( loss) on plan assets | **0.01** | (0.00) |
| **Fair value of plan assets at the end** | **20.71** | 18.91 |

**[C] Unfunded liability**

| [illegible] | [illegible] | [illegible] |
|---|---|---|
| **Unfunded liability** | **40.65** | 30.09 |

**[D] Actuarial gain / loss recognized**

| Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Actuarial gain for the current period - obligation | **4.20** | 2.49 |
| Actuarial (loss)/gain for the current period - plan assets | **(0.01)** | 0.00 |
| **Total actuarial gain for the current period** | **4.19** | 2.49 |

**[E] Amounts to be recognized in the Balance Sheet**

| Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Present value of defined benefit obligations at the end | **61.37** | 49.00 |
| Fair Value of plan asset at the end | **20.72** | 19.91 |
| **Funded Status - Unfunded liability** | **40.65** | 30.09 |

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

**Bifurcation of present value of obligations at the end of the current period**

| Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Current liability | 5.76 | 3.75 |
| Non current liability | 34.89 | 26.34 |
| **Present value of obligation as at the end** | **40.65** | 30.09 |

**[F] Expenses recognised in the Statement of Profit and Loss**

| Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Current Service cost | 8.65 | 6.25 |
| Interest cost on obligation | 3.47 | 2.83 |
| Past service cost | - | - |
| Expected return on plan assets | (1.37) | (1.28) |
| Amortisation of prior service cost | - | - |
| Net actuarial gain to be recognised | 4.19 | 2.49 |
| Expenses debited by JC | 0.15 | 0.14 |
| **Expense recognised in statement of Profit and Loss** | 15.09 | 10.43 |

**[G] Actuarial assumptions**

| Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Discount rate (p.a.) | 7.11% | 7.36% |
| Salary escalation rate (p.a.) | 8.00% | 8.00% |
| Expected rate of return on plan assets | 7.15% | 7.19% |

**[H] Experience adjustment on present value of benefit obligation and plan assets**

| Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Gain on Plan Liabilities | 4.20 | 2.49 |
| % of Opening Plan Liabilities | 8.57% | 6.02% |
| Gain on Plan Assets | (0.01) | 0.00 |
| % of Opening Plan Assets | 0.00% | 0.00% |

**Amounts disclosed as 0.00 are below the disclosure thresholds of the company**

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

## 32 Operating lease as lessee

The Company has taken factory premise, technical center and corporate office under operating leases. Factory premises is leased for a period of ten years, technical centre and corporate office, both are leased for a period of five years, with an option to renew the lease after this period. Operating lease payments for the period charged to Statement of Profit and Loss amount to ₹ 73.23 Mn (previous year ₹ 69.47 Mn) (net of operating lease rent capitalised amounting to ₹ 22.12 Mn (previous year: ₹ 23.88 Mn). The Company has disclosed operating lease rentals payable (minimum lease payments) over the lease term under the above leases is as given below

| Future minimum lease payments | 31 March 2024 | 31 March 2023 |
|---|---|---|
| - Not later than 1 year | **68.79** | 65.94 |
| - Later than 1 year and not later than 5 years | **158.56** | 199.98 |
| - Later than 5 years | **-** | 27.37 |
| | **227.35** | **293.29** |

## 33 Contingent liabilities and commitments

*(to the extent not provided for)*

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| **Contingent liabilities:** | | |
| Liability for bills discounted | **9.35** | 25.82 |
| | **9.35** | 25.82 |
| **Commitments :** | | |
| Estimated amount of contracts remaining to be executed on capital account and not provided for (net of capital advances) | **41.89** | 102.17 |
| | **41.89** | 102.17 |

## 34 Related party disclosures

### (i) List of Related Parties & relationship:

| Sr. No. | Particulars | Name of the Related Party |
|---|---|---|
| 1 | Key Management Personnel | Shashikanth Suryanarayanan (Director)<br>Amit Dixit (Director) |
| 2 | Significant shareholders | Nexus India Ventures Investments<br>Iron Pillar Fund I LLC<br>Iron Pillar India Fund I<br>TR Capital II Mauritius<br>Entrust Family Office Legal And Trusteeship Services Private Limited<br>Montane Ventures |

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

(d) Disclosure of related party transactions:

| Name of the related party | Nature of transactions | 31 March 2024 | 31 March 2023 |
|---|---|---|---|
| Mr. Shashikanth Suryanarayanan (Director) | Remuneration to key managerial personnel* | 32.20 | 19.07 |
| Mr. Amit Dixit (Director) | Remuneration to key managerial personnel* | 53.50 | 13.02 |

* Amount disclosed excludes contribution to gratuity and compensated absences as the incremental liability has been accounted for by the Company as a whole based on actuarial valuation.

## 35 Dues to micro and small suppliers

| Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|
| The amounts remaining unpaid to micro and small suppliers as at the end of the year | | |
| - Principal | 28.60 | 20.68 |
| - Interest due thereon | 1.11 | 0.36 |
| The amount of interest paid by the buyer as per the Micro Small and Medium Enterprises Development Act, 2006 (MSMED Act, 2006). | - | - |
| The amounts of the payments made to micro and small suppliers beyond the appointed day during each accounting year. | 50.76 | 97.95 |
| The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under MSMED Act, 2006 | 1.11 | 0.36 |
| The amount of interest accrued and remaining unpaid at the end of each accounting year | 1.11 | 0.36 |
| The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise for the purpose of disallowance as a deductible expenditure under the MSMED Act, 2006 | 4.57 | 3.46 |

Note The above information has been compiled by the Company on the basis of information made available by vendors during the financial year 2023-24.

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Chartered Accountants

SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

## 36 Details of imported and indigenous raw materials, components and spare parts consumed during the financial year

| Particulars | 31 March 2024 | | 31 March 2023 | |
|---|---|---|---|---|
| | % of total consumption | Rupees in Mn. | % of total consumption | Rupees in Mn. |
| **Raw material** | | | | |
| Imported | 78% | 2,865.79 | 73% | 2,226.91 |
| Indigenous | 22% | 801.95 | 27% | 813.69 |
| | 100% | 3,667.74 | 100% | 3,039.60 |
| **Spare parts** | | | | |
| Imported | 12% | 5.39 | 45% | 20.85 |
| Indigenous | 88% | 41.33 | 55% | 25.94 |
| | 100% | 46.72 | 100% | 46.79 |

## 37 CIF Value of Imports

| Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Raw material (includes Goods in transit of ₹ 223.85 Mn (Previous year ₹ 130.88 Mn)) | 3,122.61 | 2,369.35 |
| Components and spare parts | 13.75 | 27.17 |
| Capital goods | 165.27 | 71.36 |
| | 3,301.63 | 2,467.88 |

## 38 Unhedged foreign currency exposures

| Nature of exposure | Currency | Amount in Foreign currency | | Equivalent amount in INR | |
|---|---|---|---|---|---|
| | | 31 March 2024 | 31 March 2023 | 31 March 2024 | 31 March 2023 |
| Trade Receivable | USD | 0.52 | 0.04 | 42.72 | 3.21 |
| | EUR | 0.28 | 0.10 | 24.63 | 9.42 |
| Trade Payable | USD | 4.56 | 5.00 | 380.32 | 410.92 |
| | EUR | 0.00 | 0.06 | 0.22 | 5.40 |

## 39 Expenditure in foreign currency

| Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Legal and professional charges | 8.71 | 17.54 |
| Consumables and Factory Expenses | 5.39 | 17.46 |
| Foreign Travelling Expenses | 3.81 | 1.35 |
| Recruitment Expenses | 1.43 | 1.97 |
| Repairs & Maintenance | 2.39 | 4.58 |
| Others | 3.63 | 1.74 |
| **Total** | 25.36 | 44.64 |

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

## 40 Earnings in foreign currency

| | | |
|---|---|---|
| FOB Value of exports (including sale of services) | **299.18** | 241.72 |
| (Above amount does not include Sales to SEZ ( Deemed Exports ) amounting to ₹ 6.61 Mn. (previous year ₹ 6.62 Mn) ) | | |

## 41 Employee stock option scheme

The Company has granted share option awards to eight (previous year: four) of its employee. All share-based payment awards granted are options to purchase common stock in the Company, which are right to receive a share of the Company at a future vesting date with agreed exercise price. Stock options outstanding as of 31 March 2024 vest over the date of grant and are valued at the date of grant using Black Scholes model.

| Sr. No. | Particulars | | Figures are in INR | |
|---|---|---|---|---|
| | | | 31 March 2024 | 31 March 2023 |
| 1 | **Terms and conditions of various options granted under ESOS** | | | |
| a | Exercise Price | | | |
| | Date of grant | **01-04-2022** (PY : 01-04-2022) | **3,41,000** | 3,41,000 |
| | Date of grant | **01-04-2022** (PY : 01-04-2022) | **3,60,000** | 3,60,000 |
| | Date of grant | **15-04-2022** (PY : 15-04-2022) | **3,70,000** | 3,70,000 |
| | Date of grant | **15-04-2022** (PY : 15-04-2022) | **10** | 10 |
| | Date of grant | **13-04-2023** (PY : NIL) | **5,00,000** | - |
| | Date of grant | **13-04-2023** (PY : Nil ) | **4,70,000** | - |
| | Date of grant | **13-04-2023** (PY : Nil ) | **5,50,000** | - |
| | Date of grant | **28-02-2024** (PY : NIL) | **5,50,000** | - |
| b | **Vesting Period for options vested during the year** | | **Graded vesting over a period of 1 to 4 years** | **Graded vesting over a period of 1 to 4 years** |
| | **Period from date of grant** | | **No of options vested** | **No of options vested** |
| | Upon expiry of April 01, 2022 | | - | 62 |
| | Upon expiry of March 31, 2022 | | - | 55 |
| | Upon expiry of April 15, 2022 | | - | 14 |
| | Upon expiry of April 30, 2022 | | - | 28 |
| | Upon expiry of September 26, 2022 | | - | 10 |
| | Upon expiry of March 31 2023 | | **25** | - |
| | Upon expiry of April 01, 2023 | | **28** | - |
| | Upon expiry of April 15, 2023 | | **65** | - |
| | Upon expiry of April 30, 2023 | | **28** | - |

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

| Sr. No. | Particulars | Figures are in INR | |
|---|---|---|---|
| | | 31 March 2024 | 31 March 2023 |
| c | **Exercise Period** | **Earlier of the date of IPO and the relevant date as determined in accordance with the ESOP Policy, in case of cessation of the employment** | Earlier of the date of IPO and the relevant date as determined in accordance with the ESOP Policy, in case of cessation of the employment |
| 2 | **ESOS Summary** | | |
| a | No. of Options in force at the beginning of the year | 869 | 791 |
| b | No. of Options unvested at the beginning of the year | 379 | 310 |
| c | No. of Options granted during the year | 60 | 246 |
| d | No. of Options vested during the year | 146 | 164 |
| e | No. of Options lapsed / forfeited / cancelled during the year | 1 | 6 |
| f | No. of Options ceased during the year | 135 | 97 |
| g | No. of Options in force at the end of the year | 879 | 869 |
| h | No. of Options unvested at the end of the year | 293 | 379 |
| 3 | **Exercise price for** | | |
| a | **Options outstanding at the beginning of the year** | | |
| | Date of grant 01-04-2018 | 85,730 | 85,730 |
| | Date of grant 26-09-2018 | 85,730 | 85,730 |
| | Date of grant 01-04-2018 | 1,77,160 | 1,77,160 |
| | Date of grant 01-04-2019 | 2,12,593 | 2,12,593 |
| | Date of grant 01-04-2020 | 2,12,593 | 2,12,593 |
| | Date of grant 01-04-2020 | 2,12,593 | 2,12,593 |
| | Date of grant 15-04-2020 | 10 | 10 |
| | Date of grant 15-04-2020 | 2,29,600 | 2,29,600 |
| | Date of grant 30-04-2021 | 3,41,000 | 3,41,000 |
| | Date of grant 01-04-2022 | 3,41,000 | 3,41,000 |
| | Date of grant 01-04-2022 | 3,50,000 | 3,00,000 |
| | Date of grant 15-04-2022 | 3,70,000 | 3,70,000 |
| | Date of grant 15-04-2022 | 10 | 10 |
| c | **Options forfeited during the year** | - | - |
| d | **Options exercised during the year** | - | - |
| e | **Options expired during the year** | - | - |

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

| Sr. No. | Particulars | | Figures are in INR | |
|---|---|---|---|---|
| | | | 31 March 2024 | 31 March 2023 |
| f | **Options outstanding at the end of the year** | | - | - |
| | Date of grant | 01-04-2018 | 85,730 | 85,730 |
| | Date of grant | 26-09-2018 | 85,730 | 85,730 |
| | Date of grant | 01-04-2019 | 1,77,160 | 1,77,160 |
| | Date of grant | 01-04-2019 | 2,12,593 | 2,12,593 |
| | Date of grant | 01-04-2020 | 2,12,593 | 2,12,593 |
| | Date of grant | 01-04-2020 | 2,12,593 | 2,12,593 |
| | Date of grant | 15-04-2020 | 10 | 10 |
| | Date of grant | 15-04-2020 | 2,29,600 | 2,29,600 |
| | Date of grant | 30-04-2021 | 3,41,000 | 3,41,000 |
| | Date of grant | 01-04-2022 | 3,41,000 | 3,41,000 |
| | Date of grant | 01-04-2022 | 3,60,000 | 3,60,000 |
| | Date of grant | 15-04-2022 | 3,70,000 | 3,70,000 |
| | Date of grant | 15-04-2022 | 10 | 10 |
| | Date of grant | 13-04-2023 | 5,00,000 | |
| | Date of grant | 13-04-2023 | 4,70,000 | - |
| | Date of grant | 13-04-2023 | 5,50,000 | - |
| | Date of grant | 26-02-2024 | 5,50,000 | - |
| g | **Options exercisable at the end of the year** | | | |
| | Date of grant | 01-04-2018 | 85,730 | 85,730 |
| | Date of grant | 26-09-2018 | 85,730 | 85,730 |
| | Date of grant | 01-04-2019 | 1,77,160 | 1,77,160 |
| | Date of grant | 01-04-2019 | 2,12,593 | 2,12,593 |
| | Date of grant | 01-04-2020 | 2,12,593 | 2,12,593 |
| | Date of grant | 01-04-2020 | 2,12,593 | 2,12,593 |
| | Date of grant | 15-04-2020 | 10 | 10 |
| | Date of grant | 15-04-2020 | 2,29,600 | 2,29,600 |
| | Date of grant | 30-04-2021 | 3,41,000 | 3,41,000 |
| | Date of grant | 01-04-2024 | 3,41,000 | - |
| | Date of grant | 01-04-2022 | 3,60,000 | - |
| | Date of grant | 15-04-2022 | 3,70,000 | - |
| | Date of grant | 15-04-2022 | 10 | - |
| 4 | **Contractual life of Options outstanding at the end of the year** | | | |
| 5 | **Fair value of per option granted during the year** | | 5,25,667 | 3,69,033 |

**Assumptions used to estimate the Fair Value of Options using Black Scholes model**

| Sr. No. | Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|---|
| 1 | Risk-free interest rate | 7.19% | 7.01% |
| 2 | Expected Life | 2.50 years | 2.25 years |
| 3 | Expected Volatility | 28.77% | 33.59% |
| 4 | Expected Dividend yield | NIL | NIL |
| 5 | Fair market value of underlying share ( In Rs. ) | 5,50,000 | 3,69,623 |

**Expense recognized on account of "Employee share-based payments" are as follows:**

| [illegible] | [illegible] | [illegible] |
|---|---|---|
| Expense arising on account of Employee share-based payments | 16.16 | 25.68 |

## 42 Segment reporting

**Description of segments and principal activities**

The Company's operations predominantly relate to the operating segments in the motor control technology, transmission controls which consists of, Integrated Starter Generator, Electronic fuel injection, Automated Manual Transmission and are aggregated into one reportable segment 'ICE-Automotive Products' in accordance with the aggregation criteria.

The Company also operates in other businesses consisting of small powertrain engine controls business which consists of Genset Control Units, Engine Control Units, Electronics Governors, Control Panels, Actuators and are aggregated into one reportable segment 'Off-Highway Products' in accordance with the aggregation criteria

Another business the company operates in consists of Motor Control Unit and Electrification control units used in various Electric bicycles and Electric Vehicles and are aggregated into one reportable segment 'EV-Automotive' in accordance with the aggregation criteria..

Aggregation is done due to the similarities of the basic technology provided to the customers, and similarities in usage of the products by customers

The Company's core activity is research and development and during the year 2017 company has received recognition as R&D Unit from Department of Scientific and Industrial Research.

Therefore, the reportable segments consist of ' Off-Highway products', 'ICE-Automotive products , 'EV Automotive products' and R&D

The Accounting principles and policies adopted in the preparation of the financial statements are also consistently applied to record income/ expenditure and assets/ liabilities in individual segments.

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

**Segment revenue and result**

| For the year ended on 31 March 2024 | Off-Highway | ICE-Automotive | EV-Automotive | R&D | Unallocable | Total |
|---|---|---|---|---|---|---|
| Sale of Products | 746.28 | 4,424.92 | 59.05 | - | - | 5,230.25 |
| Sale of Services | 4.42 | 46.46 | 13.03 | - | - | 63.91 |
| Total Revenue | 750.70 | 4,471.38 | 72.08 | - | - | 5,294.18 |
| Other operating revenue | 11.43 | 0.94 | - | - | - | 12.37 |
| Other Income | 1.73 | 25.44 | 1.57 | - | 13.79 | 43.53 |
| Cost of goods sold | 468.09 | 3,130.73 | 33.01 | 0.32 | - | 3,630.15 |
| Other Direct Cost | 32.38 | 217.35 | 3.15 | 0.76 | - | 253.64 |
| Employee benefits expense | 50.15 | 270.54 | 4.81 | 106.48 | - | 431.98 |
| Finance costs | 12.98 | 90.55 | 1.46 | 10.92 | - | 115.91 |
| Depreciation and amortization expenses | 56.45 | 224.41 | 15.60 | 10.24 | - | 316.70 |
| Other expenses excluding other direct cost | 32.06 | 177.96 | 3.12 | 45.86 | 1.81 | 260.81 |
| Current Tax | - | - | - | - | 62.50 | 62.50 |
| Segment Result | 103.77 | 387.22 | 12.48 | (174.58) | (50.52) | 278.37 |

| For the year ended on 31 March 2023 | Off-Highway | ICE-Automotive | EV-Automotive | R&D | Unallocable | Total |
|---|---|---|---|---|---|---|
| Sale of Products | 806.14 | 3,339.76 | - | - | - | 4,145.91 |
| Sale of Services | 18.61 | 57.08 | - | - | - | 75.69 |
| Total Revenue | 824.75 | 3,396.84 | - | - | - | 4,221.59 |
| Other operating revenue | 5.70 | 2.99 | - | - | - | 8.69 |
| Other Income | 43.53 | 16.90 | - | - | - | 60.43 |
| Cost of goods sold | 463.55 | 2,569.42 | - | 0.32 | - | 3,033.29 |
| Other Direct Cost | 34.05 | 172.54 | - | - | - | 206.59 |
| Employee benefits expense | 57.52 | 156.71 | - | 113.34 | - | 327.57 |
| Finance costs | 16.42 | 63.00 | - | 10.66 | - | 90.08 |
| Depreciation and amortization expense | 27.99 | 66.51 | - | 148.06 | - | 262.56 |
| Other expenses excluding other direct cost | 64.56 | 106.20 | - | 64.07 | - | 234.83 |
| Current Tax | - | - | - | - | 25.00 | 25.00 |
| Segment Result | 99.89 | 262.36 | - | (336.45) | (25.00) | 110.79 |

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

**Details of segment assets and liabilities**

| [illegible] | [illegible] | [illegible] | [illegible] | [illegible] | [illegible] | [illegible] |
|---|---|---|---|---|---|---|
| **Segment Liabilities** | **441.60** | **2,176.48** | **42.51** | **(154.70)** | **1,135.76** | **3,641.65** |
| **Segment Assets** | **508.52** | **2,706.30** | **118.86** | **249.28** | **58.70** | **3,641.65** |

| As at 31 March 2023 | Off-Highway | ICE-Automotive | EV-Automotive | R&D | Unallocable | Total |
|---|---|---|---|---|---|---|
| Segment Liabilities | 740.86 | 1,409.74 | - | (331.71) | 1,096.52 | 2,915.41 |
| Segment Assets | 1,390.16 | 665.91 | | 829.71 | 29.63 | 2,915.41 |

**43 Additional disclosures relating to Provisions**

Disclosure as required by Accounting Standard (AS 29) - Provisions, Contingent liability and Contingent assets

| Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Provisions as at commencement of the year | **10.24** | 9.60 |
| Add: Additional provisions made during the year | **3.12** | 10.24 |
| Less: Amounts used / reversed during the year | **(4.16)** | (9.60) |
| Provisions as at end of the year | **9.20** | 10.24 |

The company has made warranty provision on account of sale of products with warranty clause. These provisions are based on management's best estimates and past trends. Actual expenses for warranty are charged directly against the provisions. Unutilised provision is reversed on expiry of the warranty period.

**44 Disclosure in respect of Research and Development activities as per the requirements of Department of Scientific and Research ('DSIR'):**

| Sr. No. | | Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|---|---|
| **A.** | (i) | Land | | |
| | (ii) | Buildings | | |
| **B.** | | **Capital** | | |
| | (i) | Equipment | **124.67** | 63.29 |
| | (ii) | Others (Intangibles) Recurring expenses capitalised | **252.52** | 232.28 |
| | | **Total capital expenditure (B) = (i) to (ii)** | **377.19** | 295.51 |
| **C.** | | **Revenue Expenditure** | | |
| | (i) | Salaries and Wages | **103.43** | 102.44 |
| | (ii) | Material, Consumables and Spares | **0.01** | 2.13 |
| | (iii) | Utilities | **14.58** | 15.95 |
| | (iv) | Other expenditure directly related to R & D | **9.68** | 19.00 |
| | | **Total revenue expenditure (C) = (i) to (iv)** | **127.68** | 139.52 |
| **D.** | | **"Total Expenditure on the approved R & D Center (excluding Land & Building) (B+C)"** | **504.87** | 435.03 |

The Company has an in house Research and Development center which is approved by Department of Scientific and Industrial Research (prescribed authority) with effect from 24th May 2017 as per approval letter dated 24th July 2017, reference number TU/IV-RD/4176/2017. The same recognition as an in-house Research and Development center is extended further till 31st March 2026, as per the letter from the prescribed authority dated 28th December 2023, reference number TU/IV-RD/4176/2023.

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

## 45 Corporate Social Responsibility (CSR)

| SL. No. | Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|---|
| A | Gross Amount required to be spent by the Company during the year | 1.78 | 0.25 |
| B | Amount of expenditure incurred | 1.80 | 0.30 |
| C | Details related to CSR expenses spent during the year | | |
| | a) Environment sustainability and protection of flora and fauna | 0.45 | 0.10 |
| | b) Promoting health care facilities for women, orphans, old day homes and day care centres | 1.00 | 0.20 |
| | c) Promoting education | 0.35 | - |
| | Total C | 1.80 | 0.30 |
| D | Amount of excess CSR expenditure available for set off in current financial year | - | - |
| E | Excess CSR expenditure to be carried forward under section 135(5) of the Companies Act | 0.02 | - |

## 46 Share Capital ( read with note no.3 )

| Particulars | All Figures are in INR | |
|---|---|---|
| | 31 March 2024 | 31 March 2023 |
| **Authorised** | | |
| **Equity Shares** | | |
| 11,900 (Previous year 11 900) equity shares of ₹ 10 each | 1,19,000 | 1,19,000 |
| **Total** | 1,19,000 | 1,19,000 |
| **Preference Shares** | | |
| 5,200 (Previous year: 5,200) 0.001% Series A Compulsorily Convertible Preference Shares (CCPS) of ₹ 10 each | 52,000 | 52,000 |
| 3,200 (Previous year: 3 200) 0.001% Series B Compulsorily Convertible Preference Shares (CCPS) of ₹ 10 each | 32,000 | 32,000 |
| 1,400 (Previous year: 1 400) 0.001% Series C Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each | 1,40,000 | 1,40,000 |
| 700 (Previous year. 700) 0.001% Series D Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each | 70,000 | 70,000 |
| 770 (Previous year: 770) 0.001% Series D1 Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each | 77,000 | 77,000 |

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

| Particulars | All Figures are in INR | |
|---|---|---|
| | 31 March 2024 | 31 March 2023 |
| 800 (Previous year: 800) 0.001% Series E Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each | **80,000** | 80,000 |
| 3,250 (Previous year: 3,250) 0.001% Series E1 Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each | **3,25,000** | 3,25,000 |
| 1,050 (Previous year: 1,050) 0.001% Series F Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each | **1,05,000** | 1,05,000 |
| **Total** | **8,81,000** | 8,81,000 |
| **Grand Total** | **10,00,000** | 10,00,000 |
| **Issued, subscribed and paid-up** | | |
| **Equity Shares** | | |
| 11,212 (Previous year 11,077) equity shares of ₹ 10 each fully paid up | **1,12,120** | 1,10,770 |
| **Total** | **1,12,120** | 1,10,770 |
| **Preference Shares** | | |
| 5,179 (Previous year: 5,179) 0.001% Series A CCPS of ₹ 10 each fully paid up | **51,790** | 51,790 |
| 3,111 (Previous year: 3,111) 0.001% Series B CCPS of ₹ 10 each fully paid up | **31,110** | 31,110 |
| 1,343 (Previous year: 1,343) 0.001% Series C CCPS of ₹ 100 each fully paid up | **1,34,300** | 1,34,300 |
| 648 (Previous year 648) 0.001% Series D CCPS of ₹ 100 each fully paid up | **64,800** | 64,800 |
| 762 (Previous year 762) 0.001% Series D1 CCPS of ₹ 100 each fully paid up | **76,200** | 76,200 |
| 797 (Previous year 797) 0.001% Series E CCPS of ₹ 100 each fully paid up | **79,700** | 79,700 |
| 3,247 (Previous Year 3,247) 0.001% Series E1 CCPS of ₹ 100 each fully paid up | **3,24,700** | 3,24,700 |
| 1,023 (Previous Year 1,023) 0.001% Series F CCPS of ₹ 100 each fully paid up | **1,02,300** | 1,02,300 |

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SEDEMAC MECHATRONICS LIMITED

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

| [illegible] | [illegible] | [illegible] |
|---|---|---|
| **Total** | **8,64,900** | 8,64,900 |
| **Grand Total** | **9,77,020** | 9,75,670 |

**47 Key Financial Ratios**

| S No. | Ratio | Numerator | Denominator | 31 March 2024 | 31 March 2023 | Change | % Of change |
|---|---|---|---|---|---|---|---|
| 1 | Current Ratio | Current Assets | Current Liabilities | **1.04** | 0.99 | 0.05 | 5.41% |
| 2 | Debt – Equity Ratio | Debt consists of long term borrowings from banks (including current maturities) & investors and short term borrowings | Shareholder's Funds | **0.59** | 0.62 | -0.03 | -5.11% |
| 3 | Debt Service Coverage Ratio | Earning for Debt Service = Profit/(Loss) for the year + Depreciation + Finance costs | Debt service = Interest on term loan from banks + Principal repayments | **2.12** | 2.14 | -0.01 | -0.63% |
| 4 | Return on Equity (ROE) | Profit/(Loss) for the year | Average Shareholder's Funds | **19.21%** | 9.13% | 10.08% | 110.40% |
| 5 | Trade receivables turnover ratio | Net Sales | Average trade receivables | **24.61** | 26.68 | -2.06 | -7.68% |
| 6 | Trade payables turnover ratio | Purchases and other expenses | Average trade payables | **5.79** | 6.30 | -0.51 | -8.10% |

B S R & Co. LLP
8th Floor, Business Plaza, Westin Hotel Complex, 393-2, Koregaon Park Annex, Mumbai-Pune Road, Yerwada, Pune-411001, India
Chartered Accountants

SEDEMAC MECHATRONICS LIMITED

## Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

| S No. | Ratio | Numerator | Denominator | 31 March 2024 | 31 March 2023 | Change | % Of change |
|---|---|---|---|---|---|---|---|
| 7 | Net capital turnover ratio | Net Sales | Average working capital (i.e. Total current assets less Total current liabilities excluding short term borrowings) | **10.24** | 7.59 | 2.66 | 35.02% |
| 8 | Net profit ratio | Profit /(Loss) for the year | Revenue from operations | **5.25%** | 2.62% | 2.62% | 99.87% |
| 9 | Return on capital employed (ROCE) | Profit before tax and finance costs | Capital Employed = Tangible Net Worth (Shareholders Funds) + Total Debt - Deferred Tax Assets. | **17.77%** | 10.83% | 6.94% | 64.04% |
| 10 | Return on Investment | Income generated from investments | Invested Funds | **6.32%** | 5.89% | 0.43% | 7.30% |
| 11 | Inventory Turnover Ratio | Annualized Cost of goods sold | Average Inventory | **3.49** | 3.35 | 0.14 | 4.16% |

| S No. | Ratio | Reason for variance |
|---|---|---|
| 1 | Return on Equity (ROE): | 25% Growth in company's revenue from operations in current financial year and increase in net profit by 99.87%. ROE has increased. |
| 2 | Net capital turnover ratio | Due to 25% growth in company's revenue from operations in FY 23-24, the net capital turnover ratio and net profit ratio has improved. |
| 3 | Net profit ratio | |
| 4 | Return on capital employed (ROCE) | Due to increase in revenue from operations and net profit in FY 23-24, ROCE has increased |

### 48 Other Statutory Information

a. The Company does not have any Benami property, where any proceeding has been initiated or pending against the Company for holding any Benami property

b. The Company does not have any transactions with companies struck off

c. The Company does not have any charges or satisfaction which is yet to be registered with ROC beyond the statutory period

d. The Company has not traded or invested in Crypto currency or Virtual Currency during the financial year.

# Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn unless otherwise stated)

e. The Company has not advanced or loaned or invested funds to any other person(s) or entity(s), including foreign entities (Intermediaries) with the understanding that the Intermediary shall

i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or

ii) provide any guarantee security or the like to or on behalf of the Ultimate Beneficiaries

f. The Company has not received any fund from any person(s) or entity(s), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:

i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or

ii) provide any guarantee security or the like on behalf of the Ultimate Beneficiaries.

g. The Company have no such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act 1961

h. The Company is not declared willful defaulter by any bank or financial institution or government or any government authority

i. Compliance with number of layer of companies as per Companies Act, 2013 - The Group has complied with the number of layers prescribed under clause (87) of section 2 of the Act read with the Companies (Restriction on number of Layers) Rules, 2017

j. The Company has not entered into any scheme of arrangement which has an accounting impact on current financial year

k. The Company has not revalued its Property, Plant and Equipment (including Right- of- Use Assets) or Intangible assets or both during the current financial year.

l. The Company has used the borrowings from financial institutions for the specific purpose for which it was taken at the balance sheet date.

m. The Company has been sanctioned working capital limits in excess of five crore rupees in aggregate, from banks or financial institutions on the basis of security of current assets, the quarterly returns or statements filed by the company with such banks or financial institutions are in agreement with books of accounts of company

The notes referred to above form an integral part of the financial statements
As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm Registration No. 101248W/W-100022

**Sanjiv Khilnani**
Partner
Membership No. 122613
ICAI UDIN : 24122613BKDBRP8411
Place: Pune
Date: 04 September 2024

For and on behalf of the Board of Directors of
**SEDEMAC MECHATRONICS LIMITED**
(Formerly known as SEDEMAC Mechatronics Private Limited)
(CIN : U29539KH2007PLC172479)

**Shashikanth Suryanarayanan**
Director
DIN : 01269904
Place: Lisbon
Date: 04 September 2024

**Amit Dixit**
Director
DIN : 01288169
Place: Pune
Date: 04 September 2024